



U.S. Customs and Border Protection

November 7, 2022

PUBLIC VERSION

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RE: EAPA Consolidated Investigation 7657: Notice of Determination as to Evasion

To the Counsel and Representatives of the above-referenced Entities:

Pursuant to an examination of the record in consolidated Enforce and Protect Act (EAPA) Investigation 7657, U.S. Customs and Border Protection (CBP) has determined there is

substantial evidence that the importers under investigation entered merchandise covered by the antidumping (AD) and countervailing duty (CVD) orders on quartz surface products (QSP, or covered merchandise) from the People's Republic of China (China), A-570-084 and C-570-085,¹ into the customs territory of the United States through evasion. Specifically, we find that substantial evidence demonstrates that Big D LLC (Big D),² Colorquartz New York Inc. (Colorquartz), Cumberland Cabinet and Design Inc. (Cumberland), Durian Kitchen Depot Inc. (Durian), Flowery Stone Inc. (Flowery Stone), Kat Specialties Inc. (Kat), Kingway Construction Supplier Inc. (Kingway), Nio Kitchen Depot Inc. (Nio), Nomadic Barthers Inc. (Nomadic), and Opaly USA LLC (Opaly), as well as several of their doing-business-as (DBA) names, Artist Kitchen and Stone Inc. (Artist Kitchen), MS Stone Co. Ltd. (MS Stone), and Nio Home Depot Inc. (Nio Home Depot) (collectively referred to as the "Importers"), imported Chinese-origin QSP into the United States and misrepresented the country of origin as Malaysia, or misclassified products as non-covered merchandise. As a result, no cash deposits were applied to the merchandise at the time of entry.

Background

On October 13 and December 1, 2021, the Trade Remedy Law Enforcement Directorate, within CBP's Office of Trade, acknowledged receipt of the properly filed allegations against Big D, Colorquartz, Cumberland, Durian, Flowery Stone, Kat, Kingway, Nio, Nomadic, and Opaly by Cambria Company LLC (Cambria), a domestic manufacturer of QSP.³ CBP found the information provided in the allegations reasonably suggested that these companies entered covered merchandise into the customs territory of the United States through evasion. Consequently, CBP initiated investigations on November 3 and December 3, 2021, pursuant to Title IV, Section 421 of the Trade Facilitation and Trade Enforcement Act of 2015, commonly referred to as the "Enforce and Protect Act" or "EAPA."⁴

Pursuant to 19 CFR 165.2, entries covered by an EAPA investigation "are those entries of allegedly covered merchandise made within one year before the receipt of an allegation"⁵ Entry is defined as an "entry for consumption, or withdrawal from warehouse for consumption,

¹ See *Certain Quartz Surface Products from the People's Republic of China: Antidumping and Countervailing Duty Orders*, 84 FR 33053 (July 11, 2019) (the *Orders*).

² We note that Big D also does business as Big M Trading Inc. See Cambria Company LLC's Letter, "Quartz Surface Products from the People's Republic of China: Request for an Investigation under the Enforce and Protect Act of Big D LLC," dated July 27, 2021.

³ See CBP's Email, "EAPA 7657: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7658: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7665: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7666: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7667: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7668: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7670: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7671: Receipt of the Allegation," dated October 13, 2021; CBP's Email, "EAPA 7672: Receipt of the Allegation," dated October 13, 2021; and CBP's Email, "EAPA 7700: Receipt of the Allegation," dated December 1, 2021. Consistent with 19 CFR 165.2, the entries covered by the period of investigation (POI) are those entered for consumption, or withdrawn from warehouse for consumption, from October 13, 2020, through the pendency of this investigation.

⁴ See Memorandum, "Initiation of Consolidated Investigation for EAPA Case 7657," dated November 3, 2021 (November 3 Initiation Memorandum); and Memorandum, "Initiation of Investigation for EAPA Case 7657: Nio Kitchen Depot Inc.," December 3, 2021 (December 3 Initiation Memorandum) (collectively, Initiation Memoranda).

⁵ See 19 CFR 165.2.

of merchandise in the customs territory of the United States.”⁶ Cambria Company LLC (referred to hereafter as Cambria) filed EAPA allegations against each of the Importers on July 27, 2021, and November 26, 2021, respectively.⁷ CBP acknowledged receipt of the properly filed Allegations on October 13, 2021 and December 1, 2021, respectively.⁸ Therefore, the entries covered by the period of investigation (POI) are those entered for consumption, or withdrawn from warehouse for consumption, from October 13, 2020, through the pendency of this investigation.⁹

After evaluating all of the record information, on February 1, 2022, CBP determined that reasonable suspicion existed that the QSP imported into the United States from Malaysia and China by the Importers was, in fact, manufactured in China, and imposed interim measures.¹⁰ Specifically, we based this determination on several elements introduced through the course of the investigation, including information provided in the Allegations, multiple discrepancies in the Importers’ CF28 responses, and information gathered by CBP during the course of the investigation.¹¹ Consequently, based upon the information stated above, CBP issued the Notice of Initiation of Investigation on February 8, 2022.¹²

⁶ See 19 CFR 165.1.

⁷ See Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Colorquartz New York Inc.,” dated July 27, 2021 (Allegation 7657); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Durian Kitchen Depot Inc.,” dated July 27, 2021 (Allegation 7658); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Cumberland Cabinet and Design Inc.,” dated July 27, 2021 (Allegation 7665); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Kat Specialties, Inc.,” dated July 27, 2021 (Allegation 7666); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Nomadic Barbers Inc.,” dated July 27, 2021 (Allegation 7667); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Opaly USA LLC,” dated July 27, 2021 (Allegation 7668); Allegation 7670; Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Flowery Stone Inc.,” dated July 27, 2021 (Allegation 7671); Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Kingway Construction Supplier Inc.,” dated July 27, 2021 (Allegation 7672); and Cambria’s Letter, “Quartz Surface Products from the People’s Republic of China: Request for an Investigation under the Enforce and Protect Act of Nio Kitchen Depot Inc.,” dated November 26, 2021 (Allegation 7700) (collectively, the Allegations).

⁸ See TRLED’s Email, “EAPA 7657: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7658: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7665: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7666: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7667: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7668: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7670: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7671: Receipt of the Allegation,” dated October 13, 2021; TRLED’s Email, “EAPA 7672: Receipt of the Allegation,” dated October 13, 2021; and TRLED’s Email, “EAPA 7700: Receipt of the Allegation,” dated December 1, 2021.

⁹ See 19 CFR 165.22 (when CBP consolidates multiple allegations into a single investigation, as we have done here, the date on which CBP receives the first of such allegations will be used to calculate the period of investigation).

¹⁰ See CBP’s Email, “EAPA Investigation 7657: Interim Measures,” dated February 1, 2022.

¹¹ See CBP’s Letter, “Notice of Initiation of Investigation and Interim Measures: Consolidated EAPA Case 7657,” dated February 8, 2022 (the NOI). See also CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Information Pertaining to Malaysian Exporters,” dated February 8, 2022; and CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Information Pertaining to the Importers Under Investigation,” dated February 8, 2022.

¹² See, generally, the NOI.

After the NOI, CBP issued Requests for Information (RFIs) to the Importers, pursuant to section 165.5 of the EAPA Regulations.¹³ In the RFIs, CBP requested the following information from the Importers: (1) information about each company's corporate structure and affiliations; (2) information about each company's accounting and financial practices; (3) information about their procurement and sales practices; and (4) reconciliations, to tie their financial statements to their sales of covered merchandise.¹⁴ Only four of the Importers responded to their RFIs – Kat, Kingway, Nomadic and Opaly.¹⁵

We provided the Importers who did not respond to the RFI – Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot – a second and final opportunity to respond and reissued the RFI to each company.¹⁶ Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot did not respond to the RFI.

Between May 6 and June 21, 2022, CBP issued supplemental RFIs to Kingway, Kat, Nomadic

¹³ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Artist Kitchen and Stone Inc.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Big D LLC," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Durian Kitchen Depot Inc.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Flowery Stone Inc.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Kingway Construction Supplier Inc.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from MS Stone Co. Ltd.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Nio Home Depot Inc.," dated March 9, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Nio Kitchen Depot Inc.," dated March 9, 2022; CBP's Letter, "Request for Information – Colorquartz New York Inc.," dated March 10, 2022; CBP's Letter, "Request for Information – Cumberland Cabinet and Design Inc.," dated March 10, 2022; CBP's Letter, "Request for Information – Kat Specialties Inc.," dated March 10, 2022; CBP's Letter, "Request for Information – Nomadic Barthers Inc.," dated March 10, 2022; and CBP's Letter, "Request for Information – Opaly USA LLC.," dated March 10, 2022.

¹⁴ *Id.*

¹⁵ See Kingway's Letter, "Response to Request for Information EAPA Case Number 7675; Kingway Construction Supplies, Inc.," dated March 30, 2022 (Kingway's RFI Response); Kat's Letter, "Response to Request for Information EAPA Case Number 7657, KAT Specialties, Inc.," dated March 31, 2022 (Kat's RFI Response); Nomadic's Letter, "Response to Request for Information EAPA Cons. Case No. 7657 Nomadic Barthers Inc.," dated April 5, 2022 (Nomadic's RFI Response); and Opaly's Letter, "Response to Request for Information for Case Number EAPA 7657," dated March 31, 2022 (Opaly's RFI Response).

¹⁶ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Artist Kitchen and Stone Inc.," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Big D LLC," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Durian Kitchen Depot Inc.," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Flowery Stone Inc.," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from MS Stone Co. Ltd.," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Nio Home Depot Inc.," dated March 24, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Nio Kitchen Depot Inc.," dated March 24, 2022; CBP's Letter, "Request for Information – Colorquartz New York Inc.," dated March 10, 2022; and CBP's Letter, "Request for Information – Cumberland Cabinet and Design Inc.," dated March 10, 2022.

and Opaly.¹⁷ On May 20, 2022, Kingway responded to its supplemental RFI.¹⁸ On July 12, 2022, Kat responded to its supplemental RFI.¹⁹ On July 26, 2022, Nomadic responded to its supplemental RFI.²⁰ On July 5, 2022, Opaly responded to its supplemental RFI.²¹ On July 26, 2022, CBP issued a supplemental RFI to Kingway,²² which responded on August 3, 2022.²³

In addition, pursuant to section 165.5 of the EAPA Regulations, CBP issued RFIs to the foreign manufacturers, Agrostone Malaysia Sdn. Bhd. (Agrostone)/Karina Stone Malaysia Sdn. Bhd. (Karina Malaysia),²⁴ [company] (Company B), Foshan Horo Import and Export Co., Ltd. (Foshan Horo), Foshan Karina Building Material Co., Ltd. (Foshan Karina), Ever Stone World Sdn. Bhd. (Ever Stone), MSW Building Supply Sdn. Bhd. (MSW) and certain affiliated companies,²⁵ and Yunfu Wintop Stone Co., Ltd. (Wintop).²⁶ In the RFIs, CBP requested the following information from the foreign manufacturers: (1) information about each company's corporate structure and affiliations; (2) information about each company's accounting and financial practices; (3) information about their procurement and sales practices; (4) information concerning their production process and purchase of raw materials; and (5) reconciliations, to tie their financial statements to their production and sales of covered merchandise.²⁷ Only

¹⁷ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Kingway Construction Supplier Inc.," dated May 6, 2022; CBP's Letter, "Supplemental Request for Information – Kat Specialties Inc.," dated June 21, 2022; CBP's Letter, "Supplemental Request for Information – Nomadic Barbers Inc.," dated June 21, 2022; and CBP's Letter, "Supplemental Request for Information – Opaly USA LLC.," dated June 21, 2022.

¹⁸ See Kingway's Letter, "Response to Supplemental Request for Information EAPA Case Number 7657; Kingway Construction Supplies, Inc.," dated May 20, 2022 (Kingway's SRFI Response).

¹⁹ See Kat's Letter, "Response to Supplemental Request for Information, EAPA Case Number 7657, KAT Specialties, Inc.," dated July 12, 2022 (Kat's SRFI Response).

²⁰ See Nomadic's Letter, "Response to Supplemental Request for Information, EAPA Cons. Case No. 7657, Nomadic Barbers Inc.," dated July 26, 2022 (Nomadic's SRFI Response).

²¹ See Opaly's Letter, dated July 5, 2022 (Opaly's SRFI Response).

²² See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Kingway Construction Supplier Inc.," dated July 26, 2022.

²³ See Kingway's Letter, "Response to Supplemental Request for Information, EAPA Case Number 7657, Kingway Construction Supplies, Inc.," dated August 3, 2022 (Kingway's Second SRFI Response).

²⁴ Because record information indicated that Agrostone and Karina Malaysia were related companies, we issued a joint RFI to both companies to email addresses on the record for both companies.

²⁵ Record evidence MSW is affiliated with LLWF Cabinets and Stone (LLWF), Monthong Building Supply Sdn. Bhd. (Monthong), MSI Building Supply Sdn. Bhd. (MSI), and South Wales Furniture Sdn. Bhd. (South Wales). For ease of reference, we refer to these companies as the Malaysian members of the Ark Trans Group. As discussed below, since the NOI, we have found there may be additional members not named in the Allegations.

²⁶ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Agrostone Malaysia Sdn. Bhd. / Karina Stone Malaysia Sdn. Bhd.," dated March 10, 2022; CBP's Letter, "EAPA CONS 7657 – Request for Information," dated March 14, 2022 (Company B); CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Foshan Horo Import and Export Co., Ltd.," dated March 14, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Foshan Karina Building Material Co., Ltd.," dated March 14, 2022; CBP's Letter, "EAPA CONS 7657 – Request for Information," dated March 14, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from LLWF Cabinets and Stone Sdn. Bhd., Monthong Building Supply Sdn. Bhd., MSI Building Supply Sdn. Bhd., MSW Building Supply Sdn. Bhd., and South Wales Furniture Sdn. Bhd.," dated March 10, 2022 (RFI for the Malaysian Members of the Ark Trans Group); and CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Yunfu Wintop Stone Co., Ltd.," dated March 10, 2022.

²⁷ *Id.*

Agrostone responded to its RFI.²⁸ Agrostone also made a separate submission which indicated that it is not related to Karina Malaysia.²⁹

We provided the foreign manufacturers who did not respond to the RFI, including Karina Malaysia, a second and final opportunity to respond, and reissued the RFI to each company.³⁰ Moreover, we mailed the non-responsive foreign manufacturers a copy of the RFI and the NOI.³¹ Karina Malaysia, Company B, Horo, Foshan Karina, Ever Stone, the MSW Companies, and Wintop never responded to their RFIs.

On May 16, 2022, CBP issued a supplemental RFI to Agrostone.³² On May 23, 2022, Agrostone responded to the supplemental RFI.³³

Pursuant to 19 U.S.C. 4372 (a)(2)(C),³⁴ CBP also issued RFIs to several brokers which are not interested parties to this investigation. On May 31, 2022, CBP issued RFIs to CCL Group Inc. (CCL), DFC Customs Broker, Inc. (DFC), Integrated CHB Inc. (CHB), and Leader Expedite.³⁵ Between June 7 and June 27, 2022, these companies responded to their respective RFIs.³⁶ On

²⁸ See Agrostone's Letter, "Request for Information Response," dated May 2, 2022 (Agrostone's RFI Response).

²⁹ See Agrostone's Letter, "RFI Comments," dated March 22, 2022 (Agrostone's RFI Comments).

³⁰ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Karina Stone Malaysia Sdn. Bhd.," dated March 28, 2022; CBP's Letter, "EAPA CONS 7657 – Request for Information," dated March 14, 2022 (Company B); CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Foshan Horo Import and Export Co., Ltd.," dated March 29, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Foshan Karina Building Material Co., Ltd.," dated March 29, 2022; CBP's Letter, "EAPA CONS 7657 – Request for Information," dated March 14, 2022 (Ever Stone); CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from LLWF Cabinets and Stone Sdn. Bhd., Monthong Building Supply Sdn. Bhd., MSI Building Supply Sdn. Bhd., MSW Building Supply Sdn. Bhd., and South Wales Furniture Sdn. Bhd.," dated March 25, 2022 (Second Chance RFI for the Malaysian Members of the Ark Trans Group); and CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Yunfu Wintop Stone Co., Ltd.," dated March 25, 2022.

³¹ CBP added FedEx tracking information for RFIs to certain companies to the record of this investigation. See Memorandum to the File, "Issuance of Request for Information to Identified Manufacturer," dated April 22, 2022; and Memorandum to the File, "Consolidated EAPA Investigation 7657: Issuance of Requests for Information to Certain Companies," dated June 27, 2022 (FedEx Tracking Memo II).

³² See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Agrostone Malaysia Sdn. Bhd.," dated May 16, 2022.

³³ See Agrostone's Letter, "Supplemental Request for Information Response," dated May 23, 2022 (Agrostone's SRFI Response).

³⁴ The statute states that CBP may issue a questionnaire requesting information to "any other person who is determined to have information relevant to the allegation of entry of covered merchandise into the customs territory of the United States through evasion." See also 19 C.F.R. 165.5(a).

³⁵ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from CCL Group Inc.," dated May 31, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from DFC Customs Broker, Inc.," dated May 31, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Integrated CHB Inc.," dated May 31, 2022; and CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Leader Expedite," dated May 31, 2022.

³⁶ See DFC's Letter, "Response to Request for Information," dated June 7, 2022 (DFC's RFI Response); Leader Expedite's Letter, "EAPA Investigation 7657 (Cons) – Leader Expedite Customs Broker," dated June 17, 2022 (Leader Expedite's RFI Response); CHB's Letter, "Response to US CBP Request for Information," dated June 21, 2022 (CHB's RFI Response); and CCL's Letter, "EAPA Consolidated Case 7657: Response to Request for Information from CCL Group Inc.," date June 27, 2022 (CCL's RFI Response).

July 22 and 26, 2022, CBP issued supplemental RFIs to certain brokers.³⁷ Between July 29 and August 9, 2022, the brokers responded to their respective RFIs.³⁸ On August 11, 2022, CBP issued an additional supplemental RFI to Leader Expedite.³⁹ On August 17, 2022, Leader Expedite responded to this additional supplemental RFI.⁴⁰

Pursuant to 19 USC 4372 (a)(2)(C), CBP also issued RFIs to two companies and an individual which are not interested parties to this investigation. We issued RFIs to the two companies that were listed in the Allegations as potentially being involved in the evasion scheme, and we issued an RFI to an individual because this person may have had knowledge concerning the evasion scheme. On March 9, 2022, CBP issued RFIs to Rikett America (Rikett) and Arocean Logistics Inc. (Arocean).⁴¹ Rikett did not respond to the RFI, so we provided it with a second opportunity to respond on March 24, 2022.⁴² Rikett did not respond to any RFI in this investigation. On March 24, 2022, Arocean responded to its RFI.⁴³ On May 5, 2022, CBP issued a RFI to an individual.⁴⁴

Since the NOI, CBP placed several memoranda on the record of this investigation summarizing research conducted on the Importers and related companies, as well as various foreign

³⁷ See CBP's Letter, "EAPA Consolidated Case 7657: Supplemental Request for Information from Integrated CHB Inc.," dated July 22, 2022; CBP's Letter, "EAPA Consolidated Case 7657: Supplemental Request for Information from Leader Expedite," dated July 22, 2022; and CBP's Letter, "EAPA Consolidated Case 7657: Supplemental Request for Information from CCL Group Inc.," dated July 26, 2022.

³⁸ See CHB's Email, "EAPA 7657: Supplemental Questionnaire," dated July 29, 2022 (CHB's SRFI Response); Leader Expedite's Letter, "Response of George T. Ho, dba Leader Expedite," dated August 5, 2022 (Leader Expedite's SRFI Response); and CCL's Letter, "EAPA Consolidated Case 7657: Response by CCL Group Inc. to Supplemental Request for Information Dated July 26, 2022," dated August 9, 2022 (CCL's SRFI Response).

³⁹ See CBP's Letter, "EAPA Consolidated Case 7657: Supplemental Request for Information from Leader Expedite," dated August 11, 2022.

⁴⁰ See Leader Expedite's Letter, "EAPA Investigation 7657 (Cons) – Leader Expedite Customs Broker," dated August 17, 2022 (Leader Expedite's Second SRFI Response).

⁴¹ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Rikett America," dated March 9, 2022; and CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Arocean Logistics Inc.," dated March 9, 2022.

⁴² See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information from Rikett America," dated March 24, 2022.

⁴³ See Arocean's Letter, "EAPA 7657 Consolidated; OTI Response to RFI," dated March 24, 2022.

⁴⁴ See CBP's Letter, "EAPA Consolidated Case 7657: Request for Information," dated May 5, 2022.

manufacturers.”⁴⁵ Kat and Kingway submitted voluntary factual information on May 23, 2022.⁴⁶

On September 6, 2022, Kat and Kingway submitted written arguments.⁴⁷ On September 20, 2022, Cambria submitted rebuttal written arguments.⁴⁸

Analysis

Under 19 USC 1517(c)(1)(A), to reach a determination as to evasion, CBP must “make a determination, based on substantial evidence, with respect to whether such covered merchandise entered into the customs territory of the United States through evasion.”⁴⁹ “Covered merchandise” is defined as “merchandise that is subject to a CVD order... and/or an AD order.”⁵⁰ “Evasion” is defined as “the entry of covered merchandise into the customs territory of the United States for consumption by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.”⁵¹ As discussed below, the record of this investigation indicates that covered merchandise entered the United States through evasion, and that there is a strong basis for concluding that substantial evidence indicates the Importers entered covered merchandise through evasion.

Summary of Certain Information Discussed in the NOI

CBP placed information on the record which indicates a Chinese company, Shenzhen Ark Cross-Border Logistics Co., Ltd. (Ark Trans), coordinates and controls the activities of certain Malaysian manufacturers under investigation, LLWF, Monthong, MSI, MSW, and South Wales,

⁴⁵ See CBP’s Memorandum, “Consolidated EAPA Case 7657: Site Visit by Customs and Border Protection,” dated May 12, 2022 (Site Visit Memo I); CBP’s Memorandum, “Consolidated EAPA Case 7657: Site Visit by Customs and Border Protection,” dated June 6, 2022 (Site Visit Memo II); CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Companies Commission of Malaysia Data,” dated May 24, 2022 (CCM Memo); CBP’s Memorandum, “Consolidated EAPA Investigation 7657: CBP Lab Test Results from Certain Entries Made by Artist Kitchen and Stone Inc., Nio Home Depot Inc. and MS Stone Co., Ltd.,” dated May 12, 2022 (Lab Testing Memo I); CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Additional CBP Lab Test Results and Information,” dated July 7, 2022 (Lab Testing Memo II); CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Import and Export Trade Data,” dated July 28, 2022 (Trade Data Memo); CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Changed Shipments,” dated June 3, 2022 (Changed Shipments Memo); and CBP’s Memorandum, “Consolidated EAPA Investigation 7657: Additional Information Pertaining to Certain U.S., Chinese and Malaysian Companies,” dated June 3, 2022 (Additional Companies Memo).

⁴⁶ See Kat’s Letter, “Voluntary Submission of Factual Information EAPA Case Number 7657; KAT Specialties, Inc.,” dated May 23, 2022 (Kat’s Voluntary Factual Information); and Kingway’s Letter, “Voluntary Submission of Factual Information EAPA Case Number 7657; Kingway Construction Supplies, Inc.,” dated May 23, 2022.

⁴⁷ See Kat’s Letter, “Written Arguments, EAPA Case Number 7657, Kat Specialties, Inc.,” dated September 6, 2022 (Kat’s Written Arguments); and Kingway’s Letter, “Written Arguments, EAPA Case Number 7657, Kingway Construction Supplies, Inc.,” dated September 6, 2022 (Kingway’s Written Arguments).

⁴⁸ See Cambria’s Letter, “Response to Written Comments,” dated September 20, 2022 (Cambria’s Rebuttal Arguments).

⁴⁹ See also 19 CFR 165.27(a) (implementing 19 USC 1517).

⁵⁰ See 19 CFR 165.1.

⁵¹ *Id.*

which we refer to as the Malaysian members of the Ark Trans Group,⁵² as well as certain U.S. importers, Artist Kitchen, Big D, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot, which we refer to as the U.S. members of the Ark Trans Group.⁵³ In addition to the transshipment scheme described in the Allegations, in the NOI CBP also found that members of the Ark Trans Group are involved in another evasion scheme, misclassification. Ark Trans is a freight forwarder, and according to its own website, specializes in helping Chinese companies to evade AD/CVD duties, and provides a range of services to help companies accomplish the evasion of duties.⁵⁴ For example, Ark Trans advertises that it owns warehouses and factories in Malaysia which offer transshipment services that include a Malaysian certificate of origin and delivery to the United States, and that it also partners with other Malaysian companies to import QSP into Malaysia to be repackaged for export to the United States.⁵⁵

The NOI discusses the information found by CBP which indicates the owner of Ark Trans, Huang Jianmin (Mr. Huang), holds concurrent positions in Chinese QSP manufacturers Guangdong Yuanjing Stone Co., Ltd. (Guangdong Yuanjing) and Evian Stone Co., Ltd. (Evian Stone).⁵⁶ Mr. Huang is also the owner and co-director of MSW.⁵⁷ One of Mr. Huang's employees, Yongxiang Feng (Mr. Feng), is the owner of MSI and Monthong, as well as an employee of Evian Stone. Another of Mr. Huang's employees, the "quartz export manager" for the Malaysian members of the Ark Trans Group, appears to also be an employee of another Chinese QSP manufacturer, Xiamen Laituosi Building Materials Co., Ltd. (Xiamen Laituosi).⁵⁸ In addition, the Malaysian members of the Ark Trans Group all share a variety of addresses, employees, and managers.⁵⁹ Moreover, record evidence indicates that the members of Ark Trans Group appear to have a coordinated invoice numbering and bill of lading numbering process.⁶⁰ In sum, the NOI links various Chinese QSP manufacturers to Ark Trans, a company which specializes in the transshipment of QSP, and then links Ark Trans to the Malaysian members of the Ark Trans Group.

In the NOI, we also linked Ark Trans and the Malaysian members of the Ark Trans Group to U.S. importers Artist Kitchen, Big D, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot. Mr. Feng owns Nio and [company].⁶¹ Each of these importers share a variety of addresses, phone numbers, contact persons/owners, and email addresses, many of which are linked to Ark Trans or the Malaysian members of the Ark Trans Group.⁶² For example, as can

⁵² The "Ark Trans Group" refers to companies in the United States, Malaysia, and China whose activities, based on record evidence, appear to be coordinated by a Chinese freight forwarder, Ark Trans. We discuss the coordination activities extensively in the NOI and in this memorandum. For ease of reference, we refer to these companies based on their geographic location, *e.g.*, "Malaysian members of the Ark Trans Group."

⁵³ See the NOI at 27.

⁵⁴ *Id.* at 27 – 28, citing Malaysian Companies Memo at "Ark Trans."

⁵⁵ *Id.*

⁵⁶ *Id.* at 27 – 28, citing Malaysian Companies Memo at "Guangdong Yuanjing" and "Evian Stone."

⁵⁷ *Id.* at 28, citing Malaysian Companies Memo at "Companies Commission of Malaysia."

⁵⁸ *Id.* at 33, citing Malaysian Companies Memo at "Xiamen Laituosi."

⁵⁹ *Id.*

⁶⁰ *Id.* at 28 – 29, citing Malaysian Companies Memo at "Ark Trans;" and U.S. Importers Memo at Re-exported Entries.

⁶¹ *Id.* at 29, citing Nio Allegation at Exhibit 4; and U.S. Importers Memo at "Identifier Information."

⁶² *Id.* at 29 – 30, citing Malaysian Companies Memo at "Companies Commission of Malaysia" and "Ark Trans;" and U.S. Importers Memo at "Identifier Information."

be seen on the first page of this memorandum, the contact information for MS Stone is an Ark Trans email address (OP5@Ark-Trans.com) and the contact information for Nio Home Depot is an Evian Stone email address (evianstone@qq.com).

The U.S. and Malaysian members of the Ark Trans Group also continuously provided false information to CBP in response to our country-of-origin inquiries. In CF28 responses, importers which purchased QSP from the Malaysian members of the Ark Trans Group either did not respond to, or did not answer, most questions, and provided false statements and altered documents to the questions which were answered.⁶³ For example, one of the false statements provided by MSW was that it purchased QSP from a company called Sanctuary Stone Sdn. Bhd. (Sanctuary Stone).⁶⁴ CBP placed evidence on the record that Sanctuary Stone is not a producer of QSP.⁶⁵ In response to other country-of-origin inquiries, however, MSW claimed Sanctuary Stone was the manufacturer of the QSP, but the information it provided was that of a Chinese manufacturer of QSP.⁶⁶ In yet other cases, rather than attempt to provide any country-of-origin information whatsoever, the U.S. members of the Ark Trans Group re-exported their entries.⁶⁷

Before the NOI, once CBP began to make country-of-origin inquiries to the U.S. members of the Ark Trans Group, these companies simply changed the names of the importers of record and the manufacturers in an attempt to avoid detection by CBP.⁶⁸ In addition, the Ark Trans Group started a new evasion scheme, misclassification. This involves both misclassifying QSP coming from Malaysia, as well as misclassifying QSP coming directly from China, as non-covered merchandise.⁶⁹ In what appears to be an effort at diversification to limit the risk of being caught by CBP, Ark Trans expanded the number of Chinese, Malaysian and U.S. companies involved in its evasion schemes.

After the NOI and the imposition of interim measures, the Ark Trans Group has continued to attempt to evade AD/CVD duties. Below we discuss how further post-NOI research indicates Ark Trans Group attempted to expand the number of U.S. companies and foreign “manufacturers” in its evasion schemes. We also discuss the application of adverse inferences to U.S. importers and foreign manufacturers due to a lack of cooperation in this investigation, as well as additional post-NOI information gathered by CBP. This additional post-NOI information includes: lab test results which indicate that covered merchandise is being misclassified; trade data which indicates Chinese-origin QSP is being transshipped through Malaysia; RFI responses from certain brokers which indicate Ark Trans’ involvement in transshipping and misclassification; and site visits by CBP personnel which indicate the

⁶³ See, e.g., the NOI at 17 – 20, citing Big D’s CF28 Response, dated December 12, 2021 (Big D’s CF28 Response).

⁶⁴ See, e.g., the NOI at 17 – 18, citing Big D’s CF28 Response.

⁶⁵ See, e.g., the NOI at 17, citing Malaysian Companies Memo at “Sanctuary Stone.”

⁶⁶ See, e.g., the NOI at 34, citing U.S. Importers Memo at Re-exported Entries, Entry 3721; and Malaysian Companies Memo at “Vemy Stone.”

⁶⁷ See the NOI at 35 – 36, citing U.S. Importers Memo at Re-exported Entries, Entry 4116, and Entry 3787.

⁶⁸ See the NOI at 30 – 32, citing U.S. Importers Memo at “Last Entries.” As discussed in the NOI, this occurred in three stages. Flowery Stone was the first U.S. member of the Ark Trans Group to start operating under a DBA when CBP requested country of origin information in October 2021. Other U.S. members of the Ark Trans Group, such as [companies], began to use DBAs approximately 30 days after receiving CF28s in November 2021. Lastly, other U.S. members of the Ark Trans Group only began to use DBAs once we imposed interim measures. *Id.*

⁶⁹ *Id.*

Malaysian manufacturers in this investigation do not have a physical presence or are not operational.

Post-NOI Indications of Evasion

Since the NOI, we examined whether the U.S. members of the Ark Trans Group continued to operate under new names or continued to list new foreign manufacturers to avoid paying AD/CVD duties. In sum, we find that the U.S. members of the Ark Trans Group are using a third, fourth or fifth round of new importer names in an attempt to evade AD/CVD duties. We include a brief summarization of our research in this determination to show the unsuccessful but attempted continued evasion of duties by the Ark Trans Group. In addition, our research has uncovered additional companies in Malaysia and China that also appear to be working with, or are a part of, the Ark Trans Group. While the companies discussed below are not subject to this EAPA investigation, we continue to refer information gathered during this investigation to other parts of CBP for enforcement action.

We examined [data over a period of time].⁷⁰ On [date, company] began to use the name Star Home Plus Inc. (Star Home).⁷¹ The entry associated with [entry data and action] to Star Home.⁷² For this [entry data and action].⁷³ We conducted this exercise for [data].⁷⁴ On [date, company] began to also use the name Ever Raising Building Inc. (Ever Raising).⁷⁵ On [date, company] began to use Bourbon Building Supply Inc. (Bourbon Building).⁷⁶ On [date, company] also began to use the name Bourbon Building.⁷⁷ On [date, company] began to use the name Green Mountains Trading Inc. (Green Mountains).⁷⁸

These changes in importation practices by the U.S. members of the Ark Tran Group coincide with different actions taken by CBP. For example, the NOI was issued February 8, 2022, and on [date], Ever Raising's first [action], although Ever Raising was not incorporated until February 22, 2022.⁷⁹ As such, [company] began doing business as Ever Raising for the sole purpose of avoiding AD/CVD duties.

a. *U.S. Importer – Star Home Plus Inc.*

Although Star Home was incorporated in April 2021, it is [entry data].⁸⁰ Most of Star Home's entries list manufacturers covered by this investigation – [companies] – as well as a few new companies – [companies].⁸¹

⁷⁰ See Changed Shipments Memo.

⁷¹ *Id.*

⁷² *Id.*

⁷³ *Id.*

⁷⁴ For more details, see Changed Shipments Memo.

⁷⁵ *Id.*

⁷⁶ *Id.* Incorporation documents indicate that “Building” was misspelled as “Bulding.” For ease of reference, we correct this error in this memorandum. See Additional Companies Memo at “Bourbon Building Supply Inc.”

⁷⁷ See Changed Shipments Memo.

⁷⁸ *Id.*

⁷⁹ See Additional Companies Memo at “Ever Raising Building Inc.”

⁸⁰ See Additional Companies Memo at “Star Home Plus Inc.”

⁸¹ *Id.*

Agrostone stated in its supplemental RFI response that it made no sales to Star Home.⁸² We discuss in the “Hogo Shipping Group” section below how the various Hogo companies, Karina Stone, and Foshan Horo, among others, are related companies. Agrostone stated it has never had any affiliation with these companies.⁸³ Some of these companies [actions].⁸⁴ We are unable to explore this phenomenon much further because Karina Stone and Foshan Horo did not respond to the RFIs, despite being provided two opportunities to do so.

In the “Losodona Home Ltd.” section below, we discuss how Losodona is likely a part of the Ark Trans Group. With respect to Bada, we note the Companies Commission of Malaysia (CCM) data indicates it shares an address with Karina and Hogo Malaysia, as well as several directors and owners.⁸⁵ Record evidence indicates this address is the location of Hogo Malaysia.⁸⁶ Thus, it appears that Bada may simply be a DBA name for Hogo Malaysia.

In the NOI we noted that U.S. members of the Ark Trans Group, MS Stone, Nio Home Depot, and Artist Kitchen, all shared an address at 90 State St., Albany NY.⁸⁷ Record information indicates that Star Home shares this address as well.⁸⁸

Given that Star Home appears to be a DBA for [company], that its only Malaysian imports of QSP are from manufacturers covered by this investigation, or manufacturers related to companies covered by this investigation, and that it shares an address with several U.S. members of the Ark Trans Group, we find it highly likely that Star Home is a U.S. member of the Ark Trans Group. As such, we believe Star Home’s entries of QSP are transshipped or misclassified covered merchandise.

b. *U.S. Importer – Ever Raising Building Inc.*

Although Ever Raising was incorporated on February 22, 2022, its first [entry data].⁸⁹ Most of Ever Raising’s shipments list manufacturers covered by this investigation – [companies] – as well as a few new companies – [companies].⁹⁰ Ever Raising’s [data] and incorporation occurred shortly after the NOI.⁹¹

Agrostone stated in its supplemental RFI response that it made no sales to Ever Raising.⁹² We discuss in the “Hogo Shipping Group” section below how the various Hogo companies and Foshan Horo, among others, are related companies. Agrostone stated it has never had any

⁸² See Agrostone’s Supplemental RFI Response at 2.

⁸³ *Id.* at 2 – 3.

⁸⁴ See Agrostone’s RFI Response at 5 – 6.

⁸⁵ See CCM Memo.

⁸⁶ *Id.* See also Additional Company Information Memo at “Hogo Shipping Group.”

⁸⁷ See U.S. Importers Memo at “Summary Chart,” “Incorporation Documents,” and “Identifier Information.”

⁸⁸ See Additional Company Information Memo at “Star Home Plus Inc.” and “Bourbon Building Supply Inc.”

⁸⁹ See Additional Companies Memo at “Ever Raising Building Inc.”

⁹⁰ *Id.*

⁹¹ *Id.*

⁹² See Agrostone’s Supplemental RFI Response at 2.

affiliation with these companies,⁹³ but now some of these companies [actions].⁹⁴ Record evidence indicates that the Ark Trans Group coordinates its invoice numbering scheme, and record evidence indicates that [actions], as discussed below in the “Broker RFI Responses” section. It is interesting to note that Ever Raising’s [entry data].⁹⁵

In the “Losodona Home Ltd.” section below, we discuss how Losodona is likely a Chinese member of the Ark Trans Group. With respect to [company and actions].⁹⁶ The sudden appearance of [company and actions]. The entry associated with [entry data].⁹⁷ This suggests a connection between [companies]. Moreover, several of Ever Raising’s shipments from [companies].⁹⁸

Given that Ever Raising may be a DBA for [company], and that its Malaysian imports of QSP are from manufacturers covered by this investigation or manufacturers related to companies covered by this investigation, we find it highly likely that Ever Raising may be a U.S. member of the Ark Trans Group. As such, we believe Ever Raising’s entries of QSP are transshipped or misclassified covered merchandise.

c. *Chinese Manufacturer – Losodona Home Ltd.*

Losodona is a Hong Kong company whose sole business appears to be exporting QSP from China to [companies].⁹⁹ While [companies, actions and entry data].¹⁰⁰ These entries [company]; however, an examination of Losodona’s address indicates it is located in an office building.¹⁰¹ Given that Losodona is located in an office building and does not produce QSP, and given the behavior by [company] to conceal its QSP shipments from China and its refusal to answer any of our RFI questions, it seems highly likely that Losodona may be a Chinese member of the Ark Trans Group. Losodona appears to be an example of one of the Ark Trans Group’s new foreign “manufacturers.” As such, we believe Losodona’s shipments of QSP to the United States are transshipped or misclassified covered merchandise.

d. *Chinese Manufacturer – Oaktree Trading International Limited*

Oaktree Trading International Limited’s (Oaktree) first [entry data].¹⁰² As discussed in the NOI, starting in October 2021, certain U.S. members of the Ark Trans Group began to change their trade patterns based on CBP’s requests for country-of-origin information which started in [date].¹⁰³ Having never exported to the United States before, Oaktree’s sole business appears to be making [entry data and companies].¹⁰⁴ Oaktree’s [entry data and companies].¹⁰⁵

⁹³ *Id.* at 2 – 3.

⁹⁴ See Agrostone’s RFI Response at 5 – 6.

⁹⁵ See Additional Companies Memo at “Ever Raising Building Inc.”

⁹⁶ *Id.*

⁹⁷ *Id.*

⁹⁸ *Id.*

⁹⁹ See Additional Companies Memo at “Losodona Home Ltd.”

¹⁰⁰ *Id.*

¹⁰¹ *Id.*

¹⁰² See Additional Companies Memo at “Oaktree Trading International Limited.”

¹⁰³ See the NOI at 31 – 32.

¹⁰⁴ See Additional Companies Memo at “Oaktree Trading International Limited.”

¹⁰⁵ *Id.*

Oaktree's website contains no information about the company, including its location or any individual employed by the company.¹⁰⁶ Much of Oaktree's website appears to be copied line for line from a website for Total Spread Corp. Ltd. (Total Spread).¹⁰⁷ We have no information that Total Spread is involved in duty evasion. Oaktree's website has no information whatsoever on its production processes or the QSP it sells.

Oaktree's address is at The Hermitage, Tower 8, Room 26B in Hong Kong.¹⁰⁸ The Hermitage, according to its website, is composed of residential units and a shopping mall.¹⁰⁹ Record evidence indicates that Oaktree's address at The Hermitage is also the personal address of Poon Wai Fung (Mr. Fung), who is the owner and one of the directors of South Wales Furniture, one of the Malaysian members of the Ark Trans Group.¹¹⁰ It is unlikely that Mr. Fung or Oaktree manufactured QSP in an apartment.

In addition to [actions], trade data indicate that Oaktree [actions] to the United States.¹¹¹ For example, on [dates, companies, actions and weights].¹¹² As such, the trade data offer further evidence that the QSP exported by Oaktree is of Chinese origin.

We discuss in the NOI how at times the Ark Trans Group companies appear to operate as other companies or are simply issuing false invoices for other companies, such as Agrostone. However, as this investigation has progressed, we find that the Ark Trans Group companies have also co-opted the names of defunct companies. For example, the signage at the location of three of the Malaysian members of the Ark Trans Group, also lists "Ark Trans Sdn. Bhd.," which is a dissolved Malaysian company.¹¹³ Oaktree appears to be a similarly dissolved company from Hong Kong. In other words, although the Hong Kong government indicates a company named Oaktree dissolved several years ago, Ark Trans is making shipment to the United States using the Oaktree name. This suggests that acting as other companies, whether existing or dissolved, is one way the Ark Trans Group attempts to mask its evasion schemes.

Given Oaktree's only business is working with various members of the Ark Trans Group, that it is located in the apartment of an owner of a Malaysian member of the Ark Trans Group, that record evidence indicates it transshipped Chinese-origin QSP [actions by company], and that its exports to the United States only began after CBP made country of origin inquiries to U.S. members of the Ark Trans Group, we find Oaktree is a part of Ark Trans' evasion schemes. Like Losodona, Oaktree is another example of one of the Ark Trans Group's new foreign "manufacturers," and we believe Oaktree's shipments of QSP to the United States are transshipped or misclassified covered merchandise.

¹⁰⁶ See Additional Companies Memo at "Oaktree Trading International Limited."

¹⁰⁷ *Id.* We include both companies' websites so that a side-by-side comparison can be made.

¹⁰⁸ *Id.*

¹⁰⁹ *Id.*

¹¹⁰ See Malaysian Companies Memo at "Companies Commission of Malaysia."

¹¹¹ See Trade Data Memo.

¹¹² *Id.*

¹¹³ See Malaysian Companies Memo at "Companies Commission of Malaysia."

e. *U.S. Importers – Cedar Trading Inc. and White Swan Kitchen Depot Inc.*

Cedar Trading Inc. (Cedar) was incorporated right after the NOI.¹¹⁴ Cedar's first [entry data].¹¹⁵ The majority of Cedar's QSP "manufacturers" are [companies].¹¹⁶ [Company, actions and dates].¹¹⁷ Given its business with members of the Ark Trans Group, we believe [company] may be a Chinese member of the Ark Trans Group like Oaktree and Losodona.

Cedar's "principal office" is located at 201 E. Center Street, Suite 112, #3500, Anaheim, CA, which is the location of a company called Anytime Mailbox.¹¹⁸ Anytime Mailbox provides a way for individuals residing overseas to make it appear as if they have a residence in the United States.¹¹⁹ More specifically, mail sent to this address is opened and scanned by Anytime Mailbox, and then sent electronically to the person or entity which rents the "address" on a monthly basis.¹²⁰ Google Maps street view indicate there are signs on the door of 201 E. Center Street and some sort of official notice, but there is not enough detail to determine what is on these signs.¹²¹ Google Maps also offers a view inside 201 E. Center Street, and suite 112 is a blank door with no signage whatsoever.¹²² Cedar indicates its agent is located 2648 Glencoe St, Denver, CO; this appears to be a single home residence.

Cedar also shares the 201 E. Center Street address with another company, White Swan Kitchen Depot Inc., which was also incorporated shortly after the NOI.¹²³ We note that Cedar and White Swan share the same Anytime Mailbox number, 3500, which indicates the individual who is renting this "address" receives the mail for both Cedar and White Swan.¹²⁴ We believe this is a strong indication that Cedar and White Swan are operated by the same individual. Like Cedar, White Swan also shares ties to the Ark Trans Group. White Swan [actions and companies].¹²⁵ While White Swan claims [company] address appears to be a condominium, and not a QSP factory.¹²⁶

Given Cedar's and White Swan's only business is working with companies linked to the Ark Trans Group, and that their business only began after CBP made country of origin inquiries with respect to Green Mountains' entries, we find it likely Cedar and White Swan are U.S. members of the Ark Trans Group. As such, we believe Cedar's and White Swan's entries of QSP are transshipped or misclassified covered merchandise.

¹¹⁴ See Additional Companies Memo at "Cedar Trading Inc."

¹¹⁵ *Id.*

¹¹⁶ *Id.*

¹¹⁷ *Id.*

¹¹⁸ *Id.*

¹¹⁹ *Id.*

¹²⁰ *Id.*

¹²¹ *Id.*

¹²² *Id.*

¹²³ See Additional Companies Memo at "White Swan Kitchen Depot Inc."

¹²⁴ *Id.*

¹²⁵ *Id.*

¹²⁶ *Id.* We note that [companies and person]. See CCM Memo.

f. *U.S. Importer – Green Mountains Trading Inc.*

Green Mountains was incorporated in November 2021, a few days after CBP issued CF28s in this investigation.¹²⁷ Green Mountains dissolved itself when it received a request for country-of-origin information from CBP in April 2022, rather than provide any such information.¹²⁸

The entry associated with [entry data, companies and dates].¹²⁹ There are a few other entries with similar trading patterns, suggesting a business relationship and coordination between [companies]. As discussed above, after the issuance of the NOI, Big D began to change its shipment information to indicate [company] was the importer of record rather than Big D, which suggests coordination between the two companies to evade duties.

Between December 2021 and March 2022, Green Mountains' entries listed [companies] as the manufacturers.¹³⁰ South Wales and LLWF are Malaysian members of the Ark Trans Group, and as discussed above, Oaktree is a Chinese member of the Ark Trans Group. It is worthwhile to note that the owner of LLWF is Jie Qi Zhou.¹³¹ In March 2022, Green Mountains began to claim the manufacturer of some of its entries is a company named [company].¹³² [Company and address], is one of the addresses shared by LLWF and South Wales.¹³³ We discuss below in the "CBP Site Visits" section how this may have been the location of LLWF and South Wales at some point, but the sign in front of the building indicates South Wales' name was removed, and a company call "Inart" appears to be located there now, not [company].¹³⁴

Because Green Mountains claimed its entries were non-covered merchandise, we randomly selected one of its entries for testing at a CBP lab. As discussed in the "Lab Test Results," section, Green Mountains' entries are, in fact, covered merchandise.

One of Ark Trans' employees, [person], uses the email address [email address].¹³⁵ [person] also has a second email address, [email address for another company].¹³⁶ Incorporation information indicates the owner of Green Mountains is Jie Zhou, which we believe is [person]. We also believe that [person] is Jie Qi Zhou, the owner of LLWF. As previously discussed in the NOI, several of the Malaysian members of the Ark Trans Group and U.S. members of the Ark Trans Group are owned by Ark Trans employees. Record evidence indicates that Green Mountains is another such company owned by an Ark Trans employee.

In sum, Green Mountains coordinated its import activities with U.S. members of the Ark Trans Group to conceal its entries of covered merchandise, it misclassified those entries as non-covered merchandise, it only imports from manufacturers which are members of the Ark Trans Group,

¹²⁷ See Additional Companies Memo at "Green Mountains Trading Inc."

¹²⁸ *Id.*

¹²⁹ *Id.*

¹³⁰ *Id.*

¹³¹ See Malaysian Companies Memo at "Companies Commission of Malaysia."

¹³² See Additional Companies Memo at "Green Mountains Trading Inc."

¹³³ See Malaysian Companies Memo at "Companies Commission of Malaysia."

¹³⁴ See Site Visit Memo I.

¹³⁵ See Kingway's SRFI Response at Exhibit M.

¹³⁶ *Id.* See also Leader's RFI Response at Exhibit 3.

and it is owned by an Ark Trans employee. Therefore, we find Green Mountains is one of the U.S. members of the Ark Trans Group and its entries are misclassified or transshipped Chinese-origin QSP.

g. *U.S. Importer – Bourbon Building Supply Inc.*

Bourbon Building was incorporated December 16, 2021.¹³⁷ As discussed in the NOI, this was right about the time that certain U.S. members of the Ark Trans Group stopped making entries and began to do business using DBA names.¹³⁸ Bourbon Building's first entry arrived February 20, 2022.¹³⁹ [Company] issued the bill of lading and [company] was the listed manufacturer.¹⁴⁰ Bourbon Building's entries list several manufacturers such as [companies].¹⁴¹

Yunfu Wintop did not respond to CBP's RFI, despite being provided two opportunities to do so. As discussed in the "Lab Test Results" section, we tested entries which listed Wintop as the manufacturer, entries which were described as non-covered merchandise, and CBP's test results found that these entries were, in fact, QSP.¹⁴²

Agrostone stated it made no sales to Bourbon Building. In the NOI, we discuss at some length how the Malaysian members of the Ark Trans Group provided false information to CBP when they claimed Sanctuary Stone was the manufacturer of their exports of QSP. We note the [entry documents for company].¹⁴³

In the NOI, we noted that U.S. members of the Ark Trans Group, MS Stone, Nio Home Depot, and Artist Kitchen, all share an address at 90 State St., Albany NY.¹⁴⁴ Record information indicates that Bourbon Building shares this address as well.¹⁴⁵

Bourbon Building's power of attorney was signed by [person].¹⁴⁶ [Person] is NioBuilding@gmail.com, the email address for Nio; however, as discussed above, [company and actions] to Bourbon Building to avoid paying AD/CVD duties. In Kingway's CF28 Response, MSW claimed that Chong Wen How is the owner of MSW,¹⁴⁷ although this is demonstrably false, as the owner is Mr. Huang.¹⁴⁸ The record is mostly silent with respect to who [person] may be, but we believe that [person and company], given his involvement in Bourbon Building, the fact that his email address is the same email address for a U.S. member of the Ark Trans Group, and this individual was named in connection to MSW.

¹³⁷ See Additional Companies Memo at "Bourbon Building Supply Inc."

¹³⁸ See the NOI at 31.

¹³⁹ See Additional Companies Memo at "Bourbon Building Supply Inc."

¹⁴⁰ *Id.*

¹⁴¹ *Id.*

¹⁴² As discussed in the "Lab Test Results" section, while Artist Kitchen and its new DBAs generally labelled their QSP as [product] lab tests confirm it is, in fact, QSP.

¹⁴³ See Additional Companies Memo at "Bourbon Building Supply Inc."

¹⁴⁴ See the NOI at 29.

¹⁴⁵ See Additional Companies Memo at "Bourbon Building Supply Inc." As discussed above, Star Home also shares this address.

¹⁴⁶ See CHB's RFI Response at Exhibit 1.

¹⁴⁷ See Kingway's CF28 Response.

¹⁴⁸ See Malaysian Companies Memo at "Companies Commission of Malaysia."

Given that Bourbon Building appears to be a DBA for [companies], given [company] involvement in its entries, and that it may be owned by an Ark Trans employee, we find it highly likely that Bourbon Building is a U.S. member of the Ark Trans Group. As such, we believe Bourbon Building's entries of QSP are transshipped or misclassified covered merchandise.

h. *Hogo Shipping Group*

We discussed in the NOI the relationship between Karina Stone, Foshan Karina, Foshan Horo and Foshan Marianna. We issued RFIs to named foreign manufacturers Karina Stone, Foshan Karina, and Foshan Horo, none of which responded to the RFIs despite being provided two opportunities to do so. After the NOI, further research indicates the parent company of these entities is Foshan Evergreen Import & Export Co., Ltd. (Foshan Evergreen). We believe Foshan Evergreen may be a part of the Ark Trans Group, or works with the Ark Trans Group, and that Foshan Evergreen may now be doing business in the United States and other countries as the Hogo Shipping Group (Hogo Group).

The Hogo Group consists of several companies: Hogo Shipping (Malaysia) Sdn. Bhd. (Hogo Malaysia), Hogo Shipping (Vietnam) Sdn. Bhd., Hogo Shipping (China) Sdn. Bhd. (Hogo China), and Hogo Shipping (USA) Inc. (Hogo USA).¹⁴⁹ Of special note, Hogo USA shares an address with U.S. members of the Ark Trans Group, Artist Kitchen, Bourbon Building, Star Home, Nio Home Depot and MS Stone – 90 State St., Albany NY.¹⁵⁰ Hogo Malaysia shares an address with Karina Stone and Bada, and Hogo China shares an address with Foshan Karina and Foshan Horo.¹⁵¹ In addition, these companies appear to share several employees between them, such as Erica Zheng and Berry Wu.¹⁵²

Foshan Evergreen's page on Alibaba appears to indicate that the Hogo Group and Foshan Evergreen are one in the same, specifically:

- The banner at the top of the webpage lists "Hogo Shipping and Trading Co., Ltd." and "Hogo International" as the company names;
- Photographs of the Foshan Evergreen's offices have signs which say "Hogo," and in another photograph, in what appears to be a dimly lit warehouse, there is a sign on the door and the only word in English is "Hogo";
- Foshan Evergreen's factory is listed as Foshan Marianna;
- There are photographs of what appear to be professional certifications purportedly for Foshan Evergreen, but enlarging the photograph indicates the certifications are, in fact, for "Hogo."¹⁵³

Although the certificates on Foshan Evergreen's Alibaba page are for the Hogo Group, and many are dated from several years ago, the Hogo Group only recently began to do business in the

¹⁴⁹ See Additional Companies Memo at "Hogo Shipping Group."

¹⁵⁰ *Id.*

¹⁵¹ *Id.*

¹⁵² *Id.*

¹⁵³ See Additional Companies Memo at "Foshan Evergreen."

United States, while Foshan Evergreen appears to have recently stopped doing business in the United States.¹⁵⁴ The entry associated with [entry data] arrived in the United States in [date] and appears to be Foshan Evergreen's last shipment, whereas the entry associated with [entry data], which arrived in the United States in [date], is Hogo China's first shipment to the United States and is [entry data] in 2020.¹⁵⁵ In 2021, Hogo China made [entry data], but in the first five months of 2022, it has [entry data] in the United States.¹⁵⁶ In sum, it appears that Foshan Evergreen simply changed the names of its various affiliates (Karina Stone, Foshan Karina, Foshan Horo and Foshan Marianna) to different entities containing the name "Hogo."

The Hogo Group also has its own dedicated website. Like Ark Trans, the Hogo Group provides warehousing services in China, Malaysia, and Vietnam.¹⁵⁷ Its website states the Hogo Group provides logistics services, states it will pick up goods from any location, transfer them to their warehouse, and then pack, crate, load, consolidate and distribute the goods; however, it does not explicitly state that it engages in transshipment.¹⁵⁸

Hogo USA does not appear to act as an [action].¹⁵⁹ With the exception of [company], the Hogo Groups' entries are to a variety of companies not discussed in this determination of evasion. The manufacturers of the Hogo Groups' [companies], although since the NOI the Hogo Group lists different "manufacturers" on entries it has shipped.¹⁶⁰ The members of the Hogo Group appear to mainly act as [actions].¹⁶¹ We believe that the behavior of the Hogo Group, *i.e.*, acting as the [actions] as opposed to acting as the [actions], is an attempt to mask its involvement in AD/CVD evasion.

The Hogo Group's efforts to mask its activities is supported by additional record evidence. Agrostone stated it had no communications or sales to any of the Importers, or Malaysian members of the Ark Trans Group.¹⁶² According to Agrostone, Foshan Marianna, Foshan Karina, Foshan Hosu, Foshan Horo, and Foshan Evergreen supplied it with raw materials in 2019 and 2020.¹⁶³ Agrostone also stated that it had no direct contact with these companies, but it did have direct contact with Hogo Malaysia.¹⁶⁴ Agrostone explained that it [actions taken by companies].¹⁶⁵ Trade data indicate that [entry data],¹⁶⁶ although Agrostone is not listed on the [entry data].¹⁶⁷ Information indicates that the Hogo Group made sales of raw materials to Agrostone, [entry data]. Based on [entry data].¹⁶⁸ With respect to U.S. import trade data, [entry data].

¹⁵⁴ Foshan Evergreen was mainly a Chinese "manufacturer" of [product].

¹⁵⁵ *Id.* at "Hogo Shipping Group" and "Foshan Evergreen."

¹⁵⁶ *Id.* at "Hogo Shipping Group."

¹⁵⁷ *Id.*

¹⁵⁸ *Id.*

¹⁵⁹ *Id.*

¹⁶⁰ *Id.*

¹⁶¹ *Id.*

¹⁶² *Id.* at 18.

¹⁶³ See Agrostone's RFI Response at 5 – 6.

¹⁶⁴ See Agrostone's SRFI Response at 3.

¹⁶⁵ *Id.*

¹⁶⁶ See Malaysian Companies Memo at "Agrostone."

¹⁶⁷ See Agrostone SRFI Response at Exhibit 1.

¹⁶⁸ See Trade Data Memo.

Because these companies have been named in this investigation and several of them have received RFIs, these companies appear now to be “closed” and new “Hogo” companies have taken their place.

We believe the Hogo Group is another example Ark Trans’ efforts to diversify its evasion schemes. The Hogo Group companies act as [trade role actions] in order to evade AD/CVD duties and to avoid being investigated by CBP. We believe entries [action] the Hogo Group are transshipped or misclassified covered merchandise.

Foreign Manufacturers

As discussed above, the foreign manufacturers were provided with two opportunities to respond to their RFIs, and in addition CBP mailed physical copies of the RFIs along with a copy of the public version of the NOI. Nevertheless, Karina Malaysia, Company B, Foshan Horo, Foshan Karina, Ever Stone, the MSW Companies, and Wintop never responded to their RFIs. First, we discuss the application of adverse inferences to these companies for their failure to cooperate to the best of their ability by not responding to the RFIs, then we discuss how other record information leads us to a conclusion of evasion.

In making an evasion determination, the statute provides CBP the authority to “collect such additional information as is necessary to make the determination through such methods as the Commissioner considers appropriate, including by ... issuing a questionnaire with respect to such covered merchandise to” the importer alleged to have engaged in evasion and the foreign producer of the covered merchandise.¹⁶⁹ The EAPA Regulations provide that in order to obtain “information necessary to carry out its functions and duties ... CBP may employ any means authorized by law,” which as noted in the statute, includes the issuance of questionnaires to interested parties.¹⁷⁰ Further, 19 USC 1517(c)(3) discusses the use of adverse inferences by CBP, stating that if CBP finds that a party “has failed to cooperate by not acting to the best of the party or person’s ability to comply with a request for information, the Commissioner may, in making a determination {of evasion}, use an inference that is adverse to the interests of that party or person in selecting from among the facts otherwise available to make the determination.”¹⁷¹ Additionally, the EAPA Regulations provide that if “the importer, or the foreign producer or exporter of the covered merchandise fails to cooperate and comply to the best of its ability with a request for information made by CBP, CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion...”¹⁷² Thus, both the statute and implementing regulations are clear that CBP may issue questionnaires, *i.e.*, RFIs, in making its determination as to evasion. The statute and EAPA Regulations are also equally clear that CBP may apply an adverse inference to a party which does not, to the best of its ability, respond to CBP’s RFI.

In this investigation, CBP attempted to obtain information to conduct a statutorily mandated proceeding, and it is not up to the discretion of the parties involved in the investigation to

¹⁶⁹ See 19 USC 1517(c)(2).

¹⁷⁰ See 19 CFR 165.5(a).

¹⁷¹ See 19 USC 1517(c)(3).

¹⁷² See 19 CFR 165.6(a).

supply the requested information. The statute and regulations provide that the application of adverse inferences is justified where a foreign manufacturer served with questionnaire does not submit any answer, as is the case in this investigation. CBP finds that the foreign manufacturers, Karina Malaysia, Company B, Foshan Horo, Foshan Karina, Ever Stone, the MSW Companies, and Wintop, have the relevant information in their own books and records, but simply decided not to provide it. The failure of these companies to respond to the RFIs precludes CBP from performing the necessary analysis of their books and records to determine whether the QSP the Importers claimed to be “manufactured” in Malaysia was instead of Chinese origin. Therefore, consistent with 19 USC 1517(c)(3)(A) and 19 CFR 165.6, we have applied adverse inferences to Karina Malaysia, Company B, Foshan Horo, Foshan Karina, Ever Stone, the MSW Companies, and Wintop for failing to cooperate to the best of their ability in responding to the RFIs.

An adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers “without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought....”¹⁷³ In selecting from among the facts otherwise available to make the determination as to evasion, we note the Allegations contain information indicating Chinese-origin QSP has been transshipped by Malaysian exporters. Therefore, as adverse inferences, CBP determines that Malaysian companies Karina Malaysia, Company B, Ever Stone, and the MSW Companies, misrepresented the country of origin of their QSP by claiming Malaysia, rather than China, as the country of origin.

Moreover, in selecting from among the facts otherwise available to make the determination as to evasion, we note that certain Chinese companies which shipped QSP to the United States misclassified the merchandise as non-covered merchandise. As such, as adverse inferences we also find that Chinese companies Foshan Horo, Foshan Karina, and Yunfu Wintop misclassified their products as non-covered merchandise, when actually they were covered merchandise.

As a result, the entries manufactured by Karina Malaysia, Company B, Foshan Horo, Foshan Karina, Ever Stone, the MSW Companies, and Wintop covered by this EAPA investigation will be subject to the China-wide entity rate for the *Orders*.

In the NOI, and above, we found that false information was provided by the MSW Companies and certain importers in response to CF28s.¹⁷⁴ We examined the links between Ark Trans, a Chinese company which specializes in the transshipment of QSP, the MSW Companies in Malaysia, and U.S. importers Artist Kitchen, Big D, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot in the NOI.¹⁷⁵ We discussed the efforts of these companies to evade AD/CVD duties once CBP began to make country of origin inquiries,¹⁷⁶ and in the “Post-NOI Indications of Evasion” section above how these companies have attempted to continue to evade paying the correct duties on their Chinese-origin QSP. However, although CBP has applied adverse inferences to Karina Malaysia, Company B, Foshan Horo, Foshan Karina, Ever Stone, the MSW

¹⁷³ See 19 USC 1517(c)(3)(B).

¹⁷⁴ See the NOI at 17 – 26.

¹⁷⁵ *Id.* at 27 – 30.

¹⁷⁶ *Id.* at 30 – 32.

Companies, and Wintop, the record contains additional ample evidence that the country of origin is China and that merchandise coming from China was misclassified. We discuss this evidence below.

a. *Lab Test Results*

The scope of the *Orders* covers certain quartz surface products which “consist of slabs and other surfaces created from a mixture of materials that includes predominately silica (*e.g.*, quartz, quartz powder, cristobalite) as well as a resin binder (*e.g.*, an unsaturated polyester). The incorporation of other materials, including, but not limited to, pigments, cement, or other additives does not remove the merchandise from the scope of the orders. However, the scope of the orders only includes products where the silica content is greater than any other single material, by actual weight....”¹⁷⁷ The scope of the *Orders* does not cover quarried stone surface products, such as granite, marble, soapstone, or quartzite, and excludes crushed glass surface products.¹⁷⁸

Artist Kitchen claimed the QSP it was importing was actually [product] and provided test results indicating that [component], and therefore, not subject to AD/CVD duties.¹⁷⁹

Broker CHB placed Customs Ruling HQ H319517 on the record of this investigation.¹⁸⁰ This Customs Ruling concerns a product labeled aluminum hydroxide surface products (AHSP), which purportedly consists primarily of aluminum hydroxide and quartz, with quartz being the second largest component by volume.¹⁸¹ According to CHB, the entries by [companies] are AHSP. An examination of the entry packages provided by CHB indicates that typically the invoices and entry documents from [companies’ descriptions] and the invoices and entry documents from [companies and descriptions].¹⁸² In addition, several U.S. members of the Ark Trans Group claimed their entries of QSP, were AHSP. For example, in CF28 responses, Big D and Nio claimed their QSP was AHSP.¹⁸³

Green Mountains indicated its products were composed of glass,¹⁸⁴ presumably to indicate they were a part of the scope exclusion language.

Because so many of the importers under investigation claimed their entries were non-covered merchandise, CBP randomly selected certain entries by these companies to be tested at CBP labs to determine whether their statements were true. As discussed in the NOI, Flowery Stone, Big D and Nio stopped making entries once CBP began to make country-of-origin inquiries; thus, we were unable to test any of their entries.¹⁸⁵ Instead, we selected entries from companies under investigation, or in one instance a DBA, which continued to enter QSP. In sum, the lab test

¹⁷⁷ See the *Orders*, 84 FR 33053, 33055.

¹⁷⁸ *Id.*

¹⁷⁹ See CCL’s RFI Response at 3 – 4.

¹⁸⁰ See CHB’s RFI Response at Exhibit 00, which contains Customs Ruling HQ H319517, dated February 23, 2022.

¹⁸¹ *Id.*

¹⁸² *Id.* at Exhibits 1 – 5.

¹⁸³ See Big D’s CF28 Response; and Nio’s CF28 Response.

¹⁸⁴ See Lab Testing Memo II.

¹⁸⁵ See the NOI at 30 – 32.

results show Artist Kitchen, Green Mountains, MS Stone, and Nio Home Depot misclassified their entries as non-covered merchandise when, in fact, they are QSP.

Artist Stone claimed entry 9282, manufactured by Karina Stone, was terrazzo, *i.e.*, marble stones bound by cement, rather than resin.¹⁸⁶ The lab results indicated the information provided by Artist Kitchen on its entry documents is false, as the merchandise was comprised of [number]% quartz and [number]% resin.¹⁸⁷ Therefore, this entry should have been classified as covered merchandise.

Green Mountains claimed entry 2613, manufactured by LLWF, was a glass surface product.¹⁸⁸ The lab results indicated the information provided by Green Mountains on its entry documents is false, as the merchandise was comprised of approximately [number]% quartz and [number]% resin.¹⁸⁹ As a related side note, this entry was [companies and actions], in an effort to avoid AD/CVD duties.¹⁹⁰ Based on the lab results, this entry did not qualify for the glass surface product exclusion and should have been classified as covered merchandise.

Nio Home Depot claimed entries 3281 and 3307, manufactured by Wintop, were AHSP and not QSP.¹⁹¹ The lab results indicated the information provided by Nio Home Depot on its entry documents is false, as the merchandise was comprised of [number]% quartz and [number]% resin for entry 3281, and [number]% quartz and [number]% resin for entry 3307.¹⁹² As such, these entries should have been classified as covered merchandise.

MS Stone claimed entries 0351 and 7046, manufactured by Agrostone, were agglomerated stone. The lab results indicated the information provided by MS Stone on its entry documents is false, as the merchandise was comprised of [number]% quartz and [number]% resin for entry 0351, and [number]% quartz and [number]% resin for entry 7046.¹⁹³ In addition to providing false information as to whether these entries are covered merchandise, MS Stone also provided false information as to the manufacturer of these entries. Agrostone stated it has never made sales to MS Stone.¹⁹⁴ Thus, based on the lab results, these entries should have been classified as covered merchandise.

In sum, in addition to transshipment, we find that certain importers covered by this investigation have engaged in attempts to evade the *Orders* through the misclassification of QSP from China and have failed to report this merchandise as covered by the *Orders*.

¹⁸⁶ See Lab Testing Memo I.

¹⁸⁷ *Id.*

¹⁸⁸ See Lab Testing Memo II.

¹⁸⁹ *Id.*

¹⁹⁰ See Additional Companies Memo at “Green Mountains Trading.”

¹⁹¹ See Lab Testing Memo I.

¹⁹² *Id.*

¹⁹³ *Id.*

¹⁹⁴ See Agrostone’s RFI Response at 18.

b. *Trade Data*

CBP placed import and export trade data [source] on the record of this investigation.¹⁹⁵ An examination of this data indicates that from 2020 to early 2022, [companies and quantity¹⁹⁶].¹⁹⁷ This is a conservative figure [companies].¹⁹⁸ The companies [companies and merchandise].¹⁹⁹

The trade data indicate that the [companies and quantity].²⁰⁰ This is a conservative figure because [time period].²⁰¹ We believe this [data analysis and companies]. We compared the import and export data for 2021 and found that for [companies and quantities].²⁰² Although we only have [data analysis]. One would expect [comparison] if the Malaysian members of the Ark Trans Group were actually manufacturing QSP.

As further evidence that the Malaysian members of the Ark Trans Group did not manufacture QSP, we examined [trade data analysis]. At times the [companies and actions]. Specifically, [trade data analysis].²⁰³ As such, we cannot trace every [trade data analysis].

To provide an example, on [dates, companies and quantities].²⁰⁴ Of particular note, the [trade data analysis].²⁰⁵ In another example, on [dates, companies and quantities].²⁰⁶ In yet another example, on [dates, companies and quantities].²⁰⁷ As such, the trade data offer further evidence that the QSP exported by the Malaysian members of the Ark Trans Group is of Chinese origin.

c. *Broker RFI Responses*

In the NOI we discussed how record information ties the U.S. Members of the Ark Trans Group to one another and to Ark Trans. The RFI responses provided by certain brokers demonstrate additional ties between the U.S. members of the Ark Trans Group. Attachment 1 to this memorandum contains information provided by the brokers coupled with information released at the NOI. In sum, we find these companies are run by a small handful of individuals, some of whom are Ark Trans employees, who share several email addresses to coordinate their activities.

In examining entry packages provided by CHB, we found that for many of the entries made by U.S. members of the Ark Trans Group the shipper and issuer of the [entry document]. We also note that many of the invoices use the [entry document protocol]. To provide a few examples, [

¹⁹⁵ See Trade Data Memo.

¹⁹⁶ These companies include [companies].

¹⁹⁷ *Id.* at Attachment I.

¹⁹⁸ *Id.*

¹⁹⁹ *Id.*

²⁰⁰ *Id.* at Attachment II.

²⁰¹ *Id.*

²⁰² *Id.* at Attachments I and II.

²⁰³ *Id.*

²⁰⁴ *Id.*

²⁰⁵ *Id.*

²⁰⁶ *Id.*

²⁰⁷ *Id.*

companies and entry document protocols].²⁰⁸ While we discuss some of these companies in this notice of evasion, CHB's RFI Response indicates [companies and actions].

A phone number, 949-247-1243, is often found on shipping documents to the U.S. members of the Ark Trans Group, along with the email address arklusa@vip.sina.com.²⁰⁹ This phone number is usually attributed to an individual named Vikki (or sometimes Liz).²¹⁰ CBP determined who this phone number was registered to, and issued the individual an RFI.²¹¹ After discussing the RFI with the individual *via* a phone call, we find this is most likely a false phone number used by the Ark Trans Group to make it appear as if its members were legitimate businesses in the United States. CBP called this number and found it was out of service. Moreover, Vikki appears to be an employee of [company].²¹²

In the NOI we discuss the many connections between the various Ark Trans companies – Ark Trans in China, the Malaysian members of the Ark Trans Group and the U.S. members of the Ark Trans Group. The additional interconnections between the U.S. members of the Ark Trans Group found after the NOI, as well as the interconnectedness of the invoice numbering system for the foreign “manufacturers” found in Malaysia and China, are further indications of the scope of Ark Trans’ and Mr. Huang’s evasion schemes.

d. CBP Site Visits

CBP personnel conducted site visits for some of the addresses listed by Ever Stone and the MSW Companies. In sum, we find these locations lack production activity, are not a location where manufacturing could occur, are false addresses, or in one case the company’s sign has been removed.

CBP conducted a site visit at Ever Stone’s address at 32 Lorong Angsa, Taman Berkeley, Klang, Selangor.²¹³ Record information also indicates this is the address of Company B, and that the individual which owns Ever Stone also owns Company B.²¹⁴ CBP notes this address is the location of a business named Ashton Training Academy Plt., and saw no indication this was the location of Ever Stone or Company B.²¹⁵ CBP also notes this building is neither wide nor deep, which is indication of a lack of QSP production at this location.²¹⁶

CBP conducted a site visit to Ever Stone and Ever Freight Logistics Sdn. Bhd. at their shared address, No. 2, Jalan Ramin 2 Ks/7, Bandar Botanic, Klang, Selangor.²¹⁷ CBP notes this is an

²⁰⁸ See CHB’s RFI Response at Attachment 1 – 4.

²⁰⁹ See, e.g., Nio’s CF28 Response.

²¹⁰ *Id.*

²¹¹ See FedEx Tracking Memo II.

²¹² See Kingway’s RFI Response at 5.

²¹³ See Site Visit Memo II.

²¹⁴ See CCM Memo.

²¹⁵ See Site Visit Memo II.

²¹⁶ *Id.*

²¹⁷ *Id.*

office building and no QSP production was noted at this location, as the upper two floors appeared to be offices and the lower floor appeared to be some sort of showroom.²¹⁸

CBP conducted site visits at the addresses for several Malaysian members of the Ark Trans Group. The address of No. 3, Jalan Ikan Mata Duyong/KS 10, Kampung Nelayan, Telokong, Port Klang Selangor, 42000 had four buildings at the address, but there was no one was present at the gate and no manufacturing activity could be heard.²¹⁹

CBP conducted a site visit to LLWF's and South Wales' shared address at PT 11929, JLN Perajurit, KG Telok Gong, Pelabuhan Klang, Selangor, 42000.²²⁰ The CBP official could not find a building corresponding to this address. The CBP official searched the entire street; the closest address that the CBP official could find was PT 14608, JLN Perajurit, KG Telok Gong, Pelabuhan Klang, Selangor, 42000.²²¹ The CBP official asked a woman who came out of PT 14608, JLN Perajurit, KG Telok Gong, Pelabuhan Klang, Selangor, 42000 if PT 11929, JLN Perajurit, KG Telok Gong, Pelabuhan Klang, Selangor, 42000 exists, and the woman indicated that she had not heard of that address.²²² The CBP official also conferred with both Waze and Google to confirm being at the correct location.²²³ In sum, this address appears to not exist.

On February 5, 2022, CBP conducted a site visit to South Wales at No. 2 Jalan Semenyih Permata, KG Telok Gong, Pelabuhan Klang, Selangor, 42000.²²⁴ The CBP official found a building that could have been a warehouse or factory in an industrial area.²²⁵ The sign in front of the building indicates South Wales' name was removed, and the warehouse has a new sign indicating a company call "Inart" is located at this address now.²²⁶

In sum, CBP was unable to locate any manufacturing facilities whatsoever for Ever Stone or the Ark Trans group companies, despite visiting several locations per company. In fact, as discussed above, some of these companies appear to have no location at all.

U.S. Importers – Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot

As discussed above, these U.S. importers were provided with two opportunities to respond to their RFIs. Nevertheless, Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot never responded to the RFIs. The failure of these companies to participate in the investigation, and to respond to the RFIs, precludes CBP from performing the necessary analysis of their books and records to determine whether their imports of QSP entered the United States through evasion. Because Artist Kitchen, Big D, Colorquartz,

²¹⁸ *Id.*

²¹⁹ *See* Site Visit Memo I.

²²⁰ *Id.*

²²¹ *Id.*

²²² *Id.*

²²³ *Id.*

²²⁴ *Id.* Part of the narrative indicates an incorrect address in the description of the pictures; however, the email from CBP personnel indicates the correct address.

²²⁵ *Id.*

²²⁶ *Id.*

Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot failed to cooperate and comply to the best of their ability to respond to the RFIs, in accordance with 19 USC 1517(c)(3)(A) and 19 CFR 165.6, CBP finds that the use of adverse inferences is warranted.

In relying upon an adverse inference for the failure to cooperate and comply to the best of one's ability with a request for information, "CBP may apply an inference adverse to the interests of that party in selecting from among the facts otherwise available to make the determination as to evasion."²²⁷ Moreover, an adverse inference may be used with respect to U.S. importers, foreign producers, and manufacturers "without regard to whether another person involved in the same transaction or transactions under examination has provided the information sought...."²²⁸ In selecting from among the facts otherwise available to make the determination as to evasion, we note the Allegations contain information indicating Chinese-origin QSP has been transshipped by Malaysian exporters. Therefore as adverse inferences, CBP determines that Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot misrepresented the country of origin of their imports of QSP by claiming Malaysia, rather than China, as the country of origin, as well as misclassifying covered merchandise. As a result, the entries by Artist Kitchen, Big D, Colorquartz, Cumberland, Durian, Flowery Stone, MS Stone, Nio, and Nio Home Depot subject to this EAPA investigation will be subject to the China-wide entity rate for the *Orders*.

U.S. Importers – Nomadic and Opaly

As discussed above in the "Foreign Manufacturers" section, CBP has applied adverse inferences to Ever Stone and Company B in this determination of evasion. Ever Stone and Company B failed to respond to their RFIs, despite being provided two chances to do so.²²⁹

Despite these importers' nominal responses to CBP's RFI questionnaires, the responses contained multiple discrepancies. Nomadic and Opaly failed to include sales negotiations, bank statements, *etc.* of products sourced from Ever Stone and exported by Ever Stone and Company B as requested in the RFIs.²³⁰ Nomadic could not explain the discrepancy between the vessel listed on the Malaysian export declaration and the Malaysia certificate of origin issued by the Malay Chamber of Commerce.²³¹ Nomadic and Opaly provided raw material lists, slab production sheets, and pictures of equipment on Ever Stone's letter head.²³² However, any documentation purported to be from Ever Stone and submitted by the importers shall be deemed unreliable, because Ever Stone failed to respond to the RFI, and CBP's site visit confirmed that manufacturing facilities do not exist.²³³

²²⁷ See the EAPA Regulations at 165.6 (a).

²²⁸ See 19 USC 1517(c)(3)(B).

²²⁹ See CBP's Letter to Company B, "EAPA CONS 7657 – Request for Information," dated March 14, 2022; and CBP's Letter to Ever Stone, "EAPA CONS 7657 – Request for Information," dated March 14, 2022. CBP issued hardcopies of the RFI's via FEDEX on April 7 and were delivered on April 12 and 13, 2022. Personnel at the locations signed and accepted delivery. See also Memorandum to the File, "Issuance of Request for Information to Identified Manufacturer," dated April 22, 2022.

²³⁰ See Nomadic's SRFI Response at 5 – 10.

²³¹ *Id.* at 9.

²³² See Nomadic's RFI Response at Exhibits 4 – 14. See Opaly's CF-28 Response.

²³³ See Site Visit Memo II.

U.S. Importer – Kat

Kat stated that it purchased QSP from its supplier [company], which purportedly contracted with Ever Stone in Malaysia.²³⁴ [Company] is a known exporter of QSP from China and was included in the original investigation conducted by the Department of Commerce with its own assigned rate.²³⁵ Moreover, as discussed above, Ever Stone failed to respond to CBP’s RFI questionnaires and CBP’s site visit confirmed that manufacturing facilities do not exist; therefore, CBP is relying on adverse inferences and determines the country of origin of the QSP is China and transshipped from Malaysia by Ever Stone and Company B.

Kat’s Arguments:

Kat argues that it exercised reasonable care in determining the country of origin of the imported merchandise by relying upon its long-time supplier [company] for recommendations; therefore, it did not engage in evasion.²³⁶

Cambria’s Arguments:

Cambria argues that Kat does not dispute that its QSP is Chinese-origin merchandise that was transshipped through Malaysia, but notes that instead Kat contends it “exercised reasonable care in determining the country of origin of the subject merchandise and had a good faith belief that the merchandise was indeed of Malaysian origin.”²³⁷ According to Cambria, it is doubtful that Kat had no inkling of the evasion activity taking place.²³⁸

Cambria contends that whether Kat knew, or should have known, that its QSP was produced in China is irrelevant, as it made false statements to CBP when it declared that the QSP was produced in Malaysia.²³⁹ Cambria posits that EAPA does not have a knowledge requirement for evasion, and as defined under 19 CFR 165.1 there is no requirement that the importer know of the material or false statement.²⁴⁰ According to Cambria, CBP rejected similar arguments from U.S. importers in prior cases, even when there was evidence that importers relied on statements made by other parties regarding the origin of the imported merchandise.²⁴¹ CBP should apply the same reasoning in this case and reject Kat’s arguments that there can be no finding of evasion because it did not have the requisite knowledge or intent to evade.

CBP’s Position: Kat’s claim that it demonstrated reasonable care by relying on its supplier does not absolve it from the requirements imposed on importers of record under section 1484 of Title

²³⁴ See Kat’s RFI and SRFI Response.

²³⁵ See the *Orders*.

²³⁶ See Kat’s Written Arguments.

²³⁷ See Cambria’s Rebuttal Arguments at 6, citing Kat’s Written Arguments at 4.

²³⁸ *Id.*

²³⁹ *Id.*

²⁴⁰ *Id.*

²⁴¹ *Id.*, citing, e.g., Notice of Final Determination as to Evasion, EAPA Investigation 7401, dated September 11, 2020, at 7; and Notice of Final Determination as to Evasion, EAPA Consolidated Case: 7454, dated February 8, 2021, at 15.

19. Further, under EAPA, there is no requirement that CBP determine that the importer acted with any level of culpability. The statute only requires that CBP determine whether evasion occurred, *i.e.*, whether covered merchandise was entered into the United States “by means of any document or electronically transmitted data or information, written or oral statement, or act that is material and false, or any omission that is material, and that results in any cash deposit or other security or any amount of applicable antidumping or countervailing duties being reduced or not being applied with respect to the merchandise.”²⁴² Thus, CBP does not need to determine any level of culpability, only that evasion occurred. As CBP stated earlier, Kat’s supplier, [company] is a known exporter of Chinese-origin QSP with its own assigned rate from Commerce’s AD/CVD investigation.²⁴³ Also, based on Ever Stone’s failure to respond to CBP’s questionnaires, CBP may rely on adverse inference. And, as noted above, during CBP’s site visit, it did not find any manufacturing facilities. Accordingly, CBP finds that substantial evidence on the record demonstrates that all of Kat’s entries entered into the customs territory of the United States through evasion by means of transshipment.

U.S. Importer – Kingway

As discussed above, the record contains copious amounts of information which indicates that the Chinese company Ark Trans controls and coordinates certain Malaysian “manufacturers,” including MSW, and certain U.S. importers. Record information indicates these companies coordinate evasion activities through shared employees, managers, and owners, and that the individual at the head of Ark Trans is Mr. Huang, who is also the owner of MSW.²⁴⁴ Trade data indicate that MSW [actions taken by company].²⁴⁵ During the POI, MSW [company actions].²⁴⁶

As discussed above in the “Foreign Manufacturers” section, CBP applied adverse inferences to MSW in this determination of evasion.

Moreover, as discussed above in the “Trade Data” section, CBP finds that record evidence indicates the country of origin of the QSP exported by [company] is China.²⁴⁷ Specifically, record evidence indicates that [company actions].²⁴⁸ An examination of the data indicates that [companies and actions]. Thus, while CBP determines that [company’s] exports of QSP are of Chinese origin based on the application of adverse inferences, record evidence also indicates that the country of origin of the QSP exported by [company] is China. Although we find that Kingway’s imports of QSP from Malaysia are of Chinese origin, we address comments made by Kingway in its written arguments, below.

²⁴² See 19 USC 1518(a)(5).

²⁴³ See the Orders.

²⁴⁴ See the NOI at 27 – 30.

²⁴⁵ See Trade Data Memo at Attachments 1 and 2.

²⁴⁶ See CBP’s Memorandum, “EAPA Post Receipt Report, EAPA Investigation Number: 7657,” dated November 3, 2021 (Kingway’s NTAC Report).

²⁴⁷ See Trade Data Memo.

²⁴⁸ *Id.*

Kingway's Arguments:

Kingway claims that it exercised reasonable care in determining the country of origin of the covered merchandise.²⁴⁹ According to Kingway, it relied upon [person from company] who contacted Kingway and informed it of factories which can produce QSP in Malaysia.²⁵⁰ Kingway asserts that [person] assisted Kingway in finding a new factory, [company], because [person] wanted new clients for his logistics business.²⁵¹ Kingway contends [person] invited Kingway personnel to visit [company] in Malaysia, but Kingway personnel were unable to travel to Malaysia due to COVID-19 travel restrictions.²⁵² Kingway argues that, because it could not visit the factory, [person] provided Kingway certificates of origin and photographs of the factory.²⁵³ Kingway asked all reasonable questions and reviewed the documents/information provided to confirm to the best of Kingway's knowledge that the merchandise was, indeed, of Malaysian origin.²⁵⁴

Kingway contends it is not an expert on all phases of production, which is why it followed the reasonable care mandate of CBP and retained an expert, its Customs broker.²⁵⁵ Kingway maintains it expected that its broker, an expert recognized and licensed by CBP, to inform Kingway whether AD/CVD cash deposits would be required.²⁵⁶ According to Kingway, it did not believe AD/CVD would be applicable to its imports of QSP, and its assumption was not contradicted by the broker.²⁵⁷

Kingway asserts it is an entirely innocent party who was acting in good faith and believes that the QSP was actually manufactured in Malaysia.²⁵⁸ Kingway argues it has taken its responses to CBP's requests very seriously and provided to the best of its ability all of the information requested, despite the information sought by CBP not being germane to the investigation.²⁵⁹ Kingway requests that the EAPA investigation against it be immediately terminated, and that Kingway be found to not have engaged in any evasion.²⁶⁰

Cambria's Arguments:

Cambria argues that Kingway does not dispute that its QSP is Chinese-origin merchandise that was transshipped through Malaysia, but notes that instead Kingway contends it "exercised reasonable care in determining the country of origin of the subject merchandise and had a good

²⁴⁹ See Kingway's Written Arguments at 6.

²⁵⁰ *Id.* at 6 – 7.

²⁵¹ *Id.* at 7.

²⁵² *Id.*

²⁵³ *Id.*

²⁵⁴ *Id.*

²⁵⁵ *Id.* at 7 – 8.

²⁵⁶ *Id.*

²⁵⁷ *Id.* at 8.

²⁵⁸ *Id.*

²⁵⁹ *Id.* at 2.

²⁶⁰ *Id.* at 8.

faith belief that the merchandise was indeed of Malaysian origin.”²⁶¹ According to Cambria, it is doubtful that Kingway had no inkling of the evasion activity taking place.²⁶²

In its comments, Cambria discusses the record evidence linking Mr. Huang and Ark Trans to the Malaysian members of the Ark Trans Group, and notes how easily and openly Mr. Huang and Mr. Feng divulged Ark Trans’ evasion schemes and how the transshipment process works.²⁶³ Cambria asserts that even a small amount of diligence would have uncovered the evasion scheme to Kingway.²⁶⁴

Cambria contends that whether Kingway knew, or should have known, that its QSP was produced in China is irrelevant, as it made false statements to CBP when it declared that the QSP was produced in Malaysia.²⁶⁵ Cambria posits that EAPA does not have a knowledge requirement for evasion, and as defined under 19 CFR165.1 there is no requirement that the importer know of the material or false statement.²⁶⁶ According to Cambria, CBP rejected similar arguments from U.S. importers in prior cases, even when there was evidence that importers relied on statements made by other parties regarding the origin of the imported merchandise.²⁶⁷ CBP should apply the same reasoning in this case and reject Kingway’s arguments that there can be no finding of evasion because it did not have the requisite knowledge or intent to evade.

CBP’s Position: While Kingway argues it is an entirely innocent party who was acting in good faith, EAPA does not have a culpability requirement necessary to find evasion. CBP notes that EAPA does not have a knowledge requirement for evasion as defined under 19 CFR 165.1, nor is there any requirement that an importer know of the material or false statement. Therefore, CBP does not need to determine any level of culpability, only that evasion occurred with entry. Although evidence on the record indicates that Kingway’s foreign suppliers, *i.e.*, [person], made false statements to Kingway regarding the covered merchandise, the existence of those statements does not excuse Kingway from its responsibility to conduct further inquiry with due diligence. In sum, CBP finds that Kingway has not provided record information, beyond what it only gathered to respond to its CF28 and RFI, indicating it exercised reasonable care in determining the country of origin of the covered merchandise.

With respect to the reasonable care Kingway claims it exercised in determining the country of origin, we disagree and find Kingway failed to provide any evidence it conducted even a miniscule amount of research on [companies or person]. The transshipment schemes conducted by Ark Trans and Mr. Huang are extensively discussed in the NOI, where we note the Ark Trans website specifically advertises duty evasion.²⁶⁸ According to the Ark Trans’ website, under the “Company Culture” section, it states:

²⁶¹ See Cambria’s Rebuttal Arguments at 6, citing Kingway’s Written Arguments at 4.

²⁶² *Id.*

²⁶³ *Id.* at 7, citing the NOI at 4 – 5, and 26 – 29.

²⁶⁴ *Id.*

²⁶⁵ *Id.*

²⁶⁶ *Id.*

²⁶⁷ *Id.*, citing, *e.g.*, Notice of Final Determination as to Evasion, EAPA Investigation 7401, dated September 11, 2020, at 7; and Notice of Final Determination as to Evasion, EAPA Consolidated Case: 7454, dated February 8, 2021, at 15.

²⁶⁸ See the NOI at 27 – 30.

Our {A}rk {L}ogistics took 20 {y}ears of logistics experience in China and the United States, in the face of the anti-dumping trade barriers established by the United States against China, many domestic factories are struggling in this crisis, Ark Logistics also carries the expectations of many domestic manufacturers, bypassing the anti-dumping review of the United States, and finally successfully delivered the goods to the other side of the ocean.

On its website, Ark Trans repeatedly uses the word “re-export” as a euphemism for transshipment or duty evasion, and also notes that one of its specialties is the “re-export” of Chinese-origin QSP from Malaysia. On its website, Ark Trans states that it:

- provides various comprehensive international freight solutions to a number of well-known foreign trade companies involved in QSP, as well as other products subject to AD/CVD;
- has warehouses and factories in Malaysia which offer transshipment services that include a certificate of origin and delivery to the United States; and,
- stated under the “Company News” section that it is committed to focusing on re-export services for QSP from Malaysia.²⁶⁹

According to Kingway, in 2019, an individual in China, [person], contacted Kingway out of the blue and informed Kingway that he knows of factories which can produce QSP in Malaysia.²⁷⁰ Kingway argues [person] assisted Kingway in finding a new factory because [person] wanted new clients for his logistics business.²⁷¹ We note [person] even provided Kingway with the website address for [company],²⁷² and the [company] domain name is in the email addresses of the [companies and employees]. Moreover, record information indicates that [person] is not shy about discussing his company’s transshipment schemes, and admitted to [person, companies and actions].²⁷³

While Kingway claims it requested information from [person and company] before and during the negotiation process pertaining to its factory and operations, asking reasonable questions, and reviewing documents,²⁷⁴ Kingway has provided no evidence it did any of this. There is no record information that Kingway conducted this sort of due diligence, nor does Kingway cite to any such record evidence in its written arguments. For example, Kingway makes no mention of checking with [person] to see if [companies] were the Malaysian companies [person and companies] were using to transship Chinese-origin QSP. While Kingway notes it requested production and product origin documents, it appears to have only done so once it was in receipt of a CF28 from CBP, and not before it began to make purchases from [person’s companies]. Further, the [accounting documents]. Kingway appears to have made no inquiries of [company’s accounting documents]. We discuss below how Kingway provided no email correspondence with [person] that indicated it

²⁶⁹ *Id.* (internal citations omitted).

²⁷⁰ See Kingway’s SRFI Response at 3.

²⁷¹ *Id.*

²⁷² *Id.* at 3; and Malaysian Companies Memo at Attachment 4.

²⁷³ See, e.g., Kingway Allegation at Exhibit 7.

²⁷⁴ See Kingway’s Written Arguments at 7.

asked him any questions at all.²⁷⁵ As such, Kingway's claims appear to be unsubstantiated assertions as to the reasonable care actions it took.

In addition, Kingway appears to be attempting to shift the responsibility in exercising reasonable care in determining the country of origin to its broker, [company]. [Company] can only provide advice based on the information the importer provides, and according to Kingway, it provided [company] with bills of lading, commercial invoices, packing lists, product specifications and country of origin certificates.²⁷⁶ These documents are what would normally accompany an entry. Kingway makes no mention of alerting the broker to the fact that its entries were all [actions taken by person]. In its RFI response, DFC indicated that it is their client's (importer's) responsibility to gather information from the manufacturer/shipper as to the applicability of AD/CVD duties.²⁷⁷ DFC also noted it is the importer's responsibility to gather information on the material used to produce the product and to research the product to determine the proper classification.²⁷⁸ Again, Kingway appears to have gathered no country of origin information from [company or person] until it was in receipt of a CF28 from CBP. While a broker may provide advice on AD/CVD matters based on the information provided to it, ultimately the importer is responsible for the payment of AD/CVD duties; therefore, it is the importer's responsibility to conduct the due diligence on gathering information to determine the country of origin.

Given the above information, we find an experienced importer like Kingway, which has been importing [time period], should have either known about Ark Trans' activities, or made an effort to gather more information as to where [person] sourced his QSP. In sum, we find Kingway did not provide evidence it conducted any reasonable care in determining the country of origin of its QSP.

We disagree with Kingway's assertion that it provided to the best of its ability all of the information requested by CBP. While we have not applied adverse inferences to Kingway, we find that it has withheld information specifically requested by CBP with respect to its communications with the supplier of its QSP during the POI, [companies and person].

When asked for the contact information for its QSP suppliers, Kingway provided MSW's contact information and the following email address – [email address] – several times in its RFI response, giving the impression it communicated directly with its Malaysian supplier.²⁷⁹ When asked to provide all communications with companies and individuals associated with the Ark Trans Group, including [person and company], Kingway provided limited email communications; however, [persons and their email addresses].²⁸⁰ Kingway explains the lack of any communications with [person,

²⁷⁵ In the NOI, we inadvertently stated that Kingway was one of the importers under investigation controlled by Ark Trans. See the NOI at 17. The sentence should have stated that Durian was one of the importers controlled by Ark Trans.

²⁷⁶ See Kingway's RFI Response at 14 and 16.

²⁷⁷ See DFCs' RFI Response at 3.

²⁷⁸ *Id.*

²⁷⁹ See Kingway's RFI Response at 11, 14 and 18.

²⁸⁰ *Id.* at 19 and Exhibit E.

companies, actions and communication methods [redacted].²⁸¹ However, as Kingway began to do business with [redacted person and date], by the time of the POI the [redacted actions].²⁸²

Because it was clear that Kingway had not provided all of the requested communications, which would include all types of messaging such as WeChat and not just emails, CBP again requested all communications Kingway had with companies and individuals associated with the Ark Trans Group, including [redacted person and company]. Kingway resubmitted the email communications it previously submitted in its RFI response, which [redacted persons and email addresses].²⁸³ In its supplemental RFI response Kingway admitted that [redacted actions and person], despite not providing any of these communications to CBP.²⁸⁴

Kingway's initial, pre-POI purchases of QSP from Malaysia were "manufactured" by [redacted company].²⁸⁵ Although Kingway's business with [redacted company] appears to have concluded before the POI, [redacted companies and actions].²⁸⁶ Moreover, Kingway's POI communications include a [redacted company email address].²⁸⁷ One might think Kingway would express some curiosity as to why or how [redacted company name changes, sales documents and email addresses], but Kingway provided no communications discussing any of these topics. While the communications provided by Kingway do not include the owner of [redacted company], the owner of [redacted company] is included in Kingway's communications. As discussed above, [redacted company and person]. We specifically asked Kingway about this individual, who is included in many of its communications, and Kingway stated it "has not had any direct contact with this individual and their email address."²⁸⁸ It would make sense for Kingway to communicate with [redacted person and company], except Kingway provided no communications with him. It makes less sense for Kingway to communicate with [redacted person], the owner of its previous supplier, and then claim it does not communicate with this individual, despite record evidence to the contrary.

The record contains further evidence Kingway has been evasive to CBP's questions regarding its communications with its suppliers of QSP. Kingway had [redacted number] entries of QSP during the POI in 2020 and [redacted number] in 2021.²⁸⁹ The email communications provided by Kingway are only from 2020, leaving the communications regarding the majority of its entries unsubmitted, despite CBP's two requests for this information. Unless Kingway was aware of [redacted company's] evasion schemes from the start, one would expect "a small business with small margins"²⁹⁰ such as Kingway to contact [redacted person] immediately once interim measures were imposed by CBP, but Kingway stated it "has not communicated with [redacted person] since the NOI was released."²⁹¹ Put another way, once the NOI was released, it seems improbable that Kingway, which claims to

²⁸¹ *Id.* at 19.

²⁸² See Kingway's NTAC Report; and Kingway's Second SRFI at 3.

²⁸³ See Kingway's RFI Response at 19 and Exhibit E.

²⁸⁴ *Id.* at 10.

²⁸⁵ See Kingway's NTAC Report.

²⁸⁶ See Kingway's SRFI at 10.

²⁸⁷ See Kingway's RFI Response at Exhibit E; Kingway's SRFI Response at Exhibit M.

²⁸⁸ See Kingway's SRFI Response at 11.

²⁸⁹ See Kingway's NTAC Report.

²⁹⁰ See Kingway's SRFI Response at 4.

²⁹¹ *Id.* at 10.

have suffered “tremendous financial losses”²⁹² due to the instant investigation, would never reach out to [person] in hopes of countering CBP’s NOI findings, but if Kingway’s SRFI Response is to be believed, it never bothered to do so.

Record evidence indicates Kingway must have communicated with [person and company] after the NOI. Kingway made a purchase from [company and location] shortly before the NOI.²⁹³ We do not have the date of this purchase, as Kingway declined to provide the requested invoice, but we know it was on, or before, [date and entry document].²⁹⁴ Kingway admits that it [actions].²⁹⁵ Importantly, the house bill of lading was issued by [company] before the imposition of interim measures on February 1, 2022,²⁹⁶ but later, on [date], [company] reissued the [document].²⁹⁷ Thus, Kingway must have contacted [company] after the NOI in order to have [company] change the house bill to indicate the [action]. Kingway provided none of these requested communications.

Finally, Kingway provided the contact information of various [company] employees it communicates with.²⁹⁸ Two of the employees, [names and email addresses], do not appear in the communications provided by Kingway.²⁹⁹ It is unclear how Kingway would have the full contact information of these individuals, including email addresses, if it had never communicated with them, unless Kingway withheld the requested communications from CBP. In sum, we find Kingway did not act to the best of its ability to provide all information requested by CBP because it withheld requested communications between it and its suppliers of QSP.

III. Actions Taken Pursuant to the Affirmative Determination of Evasion

In light of CBP’s determination that the Importers entered merchandise into the customs territory of the United States through evasion, and pursuant to 19 USC 1517(d) and 19 CFR 165.28, CBP will suspend or continue to suspend the liquidation for all entries imported by the Importers, that are subject to EAPA consolidated investigation 7657, and continue suspension until instructed to liquidate these entries. For those entries previously extended in accordance with the interim measures, CBP will rate adjust and change those entries to type 03 and continue suspension until instructed to liquidate these entries. CBP will also evaluate the Importers’ continuous bonds in

²⁹² See Kingway’s Written Arguments at 8.

²⁹³ See Kingway’s SRFI Response at 11.

²⁹⁴ *Id.* at Exhibit M.

²⁹⁵ *Id.* at 11.

²⁹⁶ See CBP’s Email, “EAPA Investigation 7657: Interim Measures,” dated February 1, 2022.

²⁹⁷ See Kingway’s SRFI Response at Exhibit M.

²⁹⁸ See Kingway’s SRFI Response at 9 – 10.

²⁹⁹ *Id.*

accordance with CBP's policies and may require single transaction bonds as appropriate. None of the above actions precludes CBP or other agencies from pursuing additional enforcement actions or penalties.

Sincerely,

A handwritten signature in black ink, appearing to read "Brian Hoxie". The signature is fluid and cursive, with the first name "Brian" and last name "Hoxie" clearly distinguishable.

Brian Hoxie
Director, Enforcement Operations Division
Trade Remedy Law Enforcement Directorate
Office of Trade

Attachment I

Company	Contact	POA Signature	POA Witness	Certain Shared Addresses
Artist Kitchen				[address] 90 State St, Ste 700, Office 40 Albany, NY 12207
Big M Trading	[name and email] ³⁰⁰	Dingcheng “Chris” Huang, Director, 86993362@qq.com ³⁰¹	Gefeng Li ³⁰²	
Bourbon Building		name and email] ³⁰³		90 State St, Ste 700, Office 40 Albany, NY 12207
Durian		Gefeng Li, President ³⁰⁴	Dingcheng “Chris” Huang ³⁰⁵	17800 Castleton St., Ste 665 City of Industry, CA 91748
Flowery Stone	[name and email] ³⁰⁶ [name] arklusa@vip.sina.com	Dingcheng “Chris” Huang, Director, 86993362@qq.com ³⁰⁷ [name and email] ³⁰⁸	Gefeng Li ³⁰⁹	
Green Mountains	[name and email] ³¹⁰			
Lonlas		Gefeng Li, President, 260427845@qq.com ³¹¹	Dingcheng “Chris” Huang ³¹²	

[

³⁰⁰ See Leader’s RFI at Exhibit 3.

³⁰¹ See Leader’s SRFI at Exhibit 1.

³⁰² See Leader’s SRFI at Exhibit 1.

³⁰³ See CHB’s RFI Response at Exhibit 1.

³⁰⁴ See Leader’s SRFI at Exhibit 1.

³⁰⁵ See Leader’s SRFI at Exhibit 1.

³⁰⁶ See Leader’s RFI at Exhibit 3.

³⁰⁷ See Leader’s SRFI at Exhibit 1.

³⁰⁸ See CHB’s RFI Response at Exhibit 2.

³⁰⁹ See Leader’s SRFI at Exhibit 1.

³¹⁰ See Leader’s RFI at Exhibit 3. As discussed above, this email is also that of [company and person].

³¹¹ See Leader’s SRFI at Exhibit 1.

³¹² See Leader’s SRFI at Exhibit 1.

MS Stone	[name and email] ³¹³ OP5@ARK-TRANS.COM msi.building.supply@gmail.com	Gefeng Li, Director, 260427845@qq.com ³¹⁴ [name and email] ³¹⁵	Dingcheng “Chris” Huang ³¹⁶	90 State St, Ste 700, Office 40 Albany, NY 12207
Nio Home Depot	Mr. Feng, evianstone@qq.com NioBuilding@gmail.com [email address]	Mr. Feng, Vice President, 260427845@qq.com ³¹⁷ [name and email] ³¹⁸	Gefeng Li ³¹⁹	90 State St, Ste 700, Office 40 Albany, NY 12207
Nio Kitchen Depot	Mr. Feng, [email address] ³²⁰ arklus@vip.sina.com	Mr. Feng, Vice President, 260427845@qq.com ³²¹ [name and email] ³²²	Gefeng Li ³²³	17800 Castleton St., Ste 665 City of Industry, CA 91748

³¹³ See Leader’s RFI at Exhibit 3.

³¹⁴ See Leader’s SRFI at Exhibit 1.

³¹⁵ See CHB’s RFI Response at Exhibit 3.

³¹⁶ See Leader’s SRFI at Exhibit 1.

³¹⁷ See Leader’s SRFI at Exhibit 1.

³¹⁸ See CHB’s RFI Response at Exhibit 4.

³¹⁹ See Leader’s SRFI at Exhibit 1.

³²⁰ See Leader’s RFI at Exhibit 3.

³²¹ See Leader’s SRFI at Exhibit 1.

³²² See CHB’s RFI Response at Exhibit 5.

³²³ See Leader’s SRFI at Exhibit 1.